



**FINANCIAL STATEMENTS
OF THE
GOVERNMENT OF
THE REPUBLIC OF VANUATU**

for the year ending

31 December 2022

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STATEMENTS OF RESPONSIBILITY

Minister of Finance and Economic Management

It is with great pleasure that I present the 2022 financial statements of the Government of the Republic of Vanuatu.

In accordance with my responsibilities under Section 30 of the Public Finance and Economic Management Act (Consolidated Edition 2020). I warrant both the integrity of the financial disclosures contained in the Financial Statements and their consistency with the requirements of the Act. These Financial Statements were authorised for issue on 5/6/2024

Honourable Dahmasing John Salong (MP)
Minister of Finance and Economic Management



Director General of the Ministry of Finance and Economic Management

These Financial Statements have been prepared by the Ministry of Finance and Economic Management in accordance with the provisions of the Public Finance and Economic Management Act. Compilation of these Financial Statements follows generally accepted accounting practice and has complied with International Public Sector Accounting Standards as issued by the International Federation of Accountants where practicable.

The Ministry of Finance and Economic Management is responsible for establishing and maintaining a system of internal control designed to provide reasonable assurance that the transactions recorded are within statutory authority and properly record the use of all financial resources by the Government. To the best of my knowledge this system of internal control has operated adequately throughout the reporting period.

In accordance with my responsibilities under Section 30 of the Public Finance and Economic Management Act (Consolidated Edition 2020). I warrant both the integrity of the financial disclosures contained in the Financial Statements and their consistency with the requirements of the Act. These Financial Statements were authorised for issue on 05/06/24

Tony Sewen
Acting Director General
Ministry of Finance and Economic Management



REPORT OF THE AUDITOR GENERAL TO THE PARLIAMENT OF THE VANUATU WHOLE OF GOVERNMENT



VANUATU NATIONAL AUDIT OFFICE
BUREAU DU CONTRÔLEUR GÉNÉRAL
DES COMPTES DE VANUATU



REPORT OF THE AUDITOR-GENERAL OF THE FINANCIAL STATEMENT FOR THE WHOLE OF GOVERNMENT FOR THE YEAR ENDED 31 DECEMBER 2022

In accordance with Article 25(5) of the Constitution of the Republic of Vanuatu and Section 27 of the Expenditure Review and Audit Act No.3 of 1998 (as amended), I have audited the financial statements of the Vanuatu Whole of Government (consolidated) for the year ended 31 December 2022.

Responsibilities of Government and Those Charged with Governance for the Financial Statements

The Department of Finance and Treasury (DoFT) is responsible for the preparation and fair presentation of these financial statements in accordance with International Public Sector Accounting Standards (IPSAS accrual) and legislation. The respective line ministries are responsible for the necessary internal control to enable the preparation of financial statements by the DoFT that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, DoFT is responsible for assessing the Entity's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the entity or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible of overseeing the entity's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue and

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REPORT OF THE AUDITOR GENERAL TO THE PARLIAMENT OF THE VANUATU WHOLE OF GOVERNMENT (Con't)

auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, which is consistent with the Fundamental Auditing Principles (ISSAIs 100-999) of the International Standards for Supreme Audit Institutions, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

In accordance with the Fundamental Auditing Principles (ISSAIs 100-999) of the International Standards for Supreme Audit Institutions, I exercise professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Entity's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and

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other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, I determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my auditor's report unless law or regulation precludes public disclosure about the matter or, when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Adverse Opinion

In my opinion, because of the significance of the matter discussed in the Basis for Adverse Opinion section of my report, the accompanying financial statements do not present fairly the financial position of the Entity as at 31 December 2022 and their financial performance and their cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSAS accrual).

Basis for Adverse Opinion

I conducted my audit in accordance with International Standards for Supreme Audit Institutions. My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of the entity in accordance with the Code of Ethics for Supreme Audit Institutions together with the ethical requirements that are relevant to my audit of the financial statements to the Vanuatu National Audit Office. The following is the basis for issuing an adverse opinion:

- The Revenue could not be verified due to information not being provided by the relevant line ministries in property rentals, water charges and recoveries, land rents, registration and land premiums, hospital fees, property rental, passport fees, residency permits tax, charges

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and recoveries, ports and wharf, hospital fees, Honorary citizenship fees, fishing license fees and land registration fees, and donor contributions.

- The operational expenditure and personnel expenses could not be verified due to information not being provided and poor record keeping.
- The bank account balance disclosed in the financial statement is materially misstated due to a lack of reconciliations at the financial year-end.
- The Government Business Enterprises' financial statements included in the Annual Financial Statements for the Whole of the Government are not current. As a result, the government's interest/equity share is misstated.
- The government was still undergoing verification and updating of the asset register; after extensive testing, a large number of Property Plant and Equipment could not be verified, and as a result, the depreciation expense and accumulated depreciation could not be re-calculated.
- We could not verify the leave liability amount. This is due to a lack of reconciliation between leave and underlying records. Similarly, the severance liability could not be verified due to discrepancies in the employment records.
- The accounts payable and the amount for foreign borrowings are misstated due to a lack of reconciliations performed on the accounts.
- We could not verify the trust account liabilities due to improper record-keeping.
- The financial statements do not disclose details of future commitments or guarantees offered to GBEs and other entities.

Report on Other Legal and Regulatory Requirements

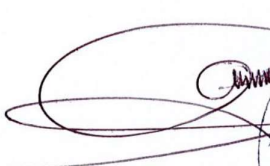
- The PFEM Regulations require that all supporting documentation be attached to payment vouchers for the Auditors to verify the transactions' legitimacy and purpose. Most payment vouchers selected for audit did not have supporting documentation to support the expenditure.
- Incorrect calculation of subsistence allowance in terms of the Official Salaries Act (Amendment) Order No.7 of 2018 relating to support staff and spouses' travel.
- During the financial year, the Presidency, Parliament, Judiciary, Office of the Ombudsman, Public Prosecutor, Public Solicitor, Prime Minister's Office, Ministry of Education, Ministry of Internal Affairs, Ministry of lands overspent on their appropriated budget. The overspending also contravenes Section 34(2) states that an amount appropriated for a program or an activity of an agency in a financial year may be appropriated by a

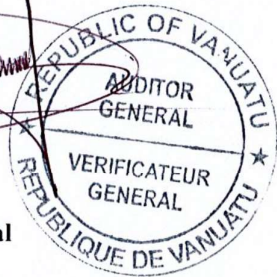
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REPORT OF THE AUDITOR GENERAL TO THE PARLIAMENT OF THE VANUATU WHOLE OF GOVERNMENT (Con't)

supplementary appropriation act for a program or activity of another agency in that financial year. We have found that Parliament made no such appropriation, which resulted in overspending the budgets of the mentioned ministries and agencies.

- In addition, the Appropriations Act ring fences funds for National Policy Priorities outlined in the National Sustainable Development Plan. We could not verify the amounts spent on specific priorities by line ministries.
- Section 46 of the PFEM Act requires that trust money held by the state shall be accounted for separately from public money; we found that all trust monies were paid into the Government account and were not separately accounted for.
- Section 55 of the PFEM Regulations requires that a register for all agencies be kept as part of the centralized Financial Management Information System. We found that the asset register was not updated during 2022.


Caleb R Sandy
Auditor-General



6 June 2024
Port Villa

COMMENTARY ON THE FINANCIAL STATEMENTS

These Financial Statements represent the accrual based financial statements prepared for the Government of the Republic of Vanuatu for the year ended 31 December 2022. The Statements follow generally accepted accounting practice and follow International Public Sector Accounting Standards (IPSAS) as issued by the International Federation of Accountants where practicable. Where the financial statements do not fully comply with IPSAS, this has been disclosed in the Notes to the Financial Statements. A brief commentary on each of the main statements included in these accounts follows:

Summary of Statement of Financial Position

The Statement of Financial Position shows the assets and liabilities of the Government.

	2022 vatu million	2021 vatu million
Financial Position		
Assets	216,894	220,312
Liabilities	97,086	90,574
Net Worth	119,808	129,738

Summary of Statement of Financial Performance

The Statement of Financial Performance shows the total revenue and expenses for the Government each year. The net surplus or deficit of Government Business Enterprises is also included in this statement to show the Operating Balance of the total Government reporting entity for each year. A summary of the Consolidated Statement of Financial Performance is as follows:

	2022 vatu million	2021 vatu million
Consolidated Financial Performance		
Revenue	35,978	44,207
Expenses	45,884	44,712
Revenue less Expenses	(9,906)	(505)
Net surplus/(deficit) of GBEs	(25)	569
Operating Balance	(9,931)	64

If Development Partner funded activities and foreign currency movements are excluded, the Statement of Financial Performance for the Recurrent Fund is as follows:

	2022 vatu million	2021 vatu million
Recurrent Fund Financial Performance		
Revenue	31,302	37,046
Expenses	40,093	40,467
Revenue less Expenses	(8,791)	(3,421)
Net surplus/(deficit) of GBEs	(25)	569
Operating Balance	(8,816)	(2,852)
Plus/(less) Foreign Currency movements	(47)	(815)
Adjusted Operating Balance	(8,863)	(3,667)

Summary of Statement of Borrowings

	2022 vatu million	2021 vatu million
Borrowings		
Foreign currency borrowings	40,922	39,789
Domestic borrowings	10,523	8,179
Total borrowings	51,446	47,968

FINANCIAL STATEMENTS

of the

**GOVERNMENT OF
THE REPUBLIC OF VANUATU**

for the year ending 31 December 2022

Statement of Financial Performance
(for the year ending 31 December 2022)

	Notes	2022 vatu million	2021 vatu million
Revenue			
Non-Exchange Taxation, Regulatory Fees and Fines Transactions			
Taxation revenue	1	17,492	15,971
License and registration fees	1	9,763	14,270
Other Sovereign revenues	1	792	941
Non-Exchange Transfer Revenue			
Contributions from Development Partners	4	5,527	9,592
Total Revenue through non-Exchange Transactions		33,574	40,774
Exchange Transactions			
Charges and recoveries	2	1,394	1,410
Investment income	3	963	1,208
Total Revenue Earned through Exchange Transactions		2,357	2,618
Other Revenue			
Foreign currency gains/(losses)		47	815
Total Other Revenue		47	815
Total Revenue		35,978	44,207
Expenses			
Personnel expenses	6	20,951	19,267
Operating expenses	7	10,426	10,973
Grants, subsidies and transfer payments	8	6,659	7,119
Finance costs		943	890
Depreciation of assets	12b	6,548	6,039
Impairment of Receivables	9	357	424
Total Expenses	5	45,884	44,712
Revenue less Expenses		(9,906)	(505)
Net surplus/(deficit), less distributions, attributable to Government Business Enterprises	11	(25)	569
Operating Balance		(9,931)	64

The accompanying notes and accounting policies are an integral part of these statements.

Note: The Statement of Financial Performance includes all revenue and expenses for the Recurrent and Development Funds. The Statement of Segments has separate Statements of Financial Activity and Financial Performance for the Recurrent and Development funds.

Statement of Financial Position
(as at 31 December 2022)

	Note	2022 vatu million	2021 vatu million
Assets			
Cash and bank		18,146	21,821
Receivables	9	1,784	1,805
Advances	10	29,794	29,490
Prepayments	10	263	264
Investment in Government Owned Enterprises	11	6,687	6,712
Property, Plant and Equipment	12	147,263	149,103
Capital works in Progress		12,957	11,117
Total Assets		216,894	220,312
Liabilities			
Payables and provisions	13	5,859	4,011
Employee Entitlements	14	24,567	22,926
Trust account liabilities	15	1,988	1,867
Borrowings		51,446	47,968
Deferred Revenue	16	13,226	13,802
Total Liabilities		97,086	90,574
Total Assets less Total Liabilities		119,808	129,738
Net Worth			
Recurrent Fund Balance		(2,826)	5,990
Development Fund Balance		10,691	11,805
Fixed Assets Revaluation Reserve		111,943	111,943
Net Worth		119,808	129,738

The accompanying notes and accounting policies are an integral part of these statements.

Note: The Statement of Financial Position includes all assets and liabilities for the Recurrent, Trust and Development Funds.
Details of Borrowings are included in the Statement of Borrowings
Details of movements in equity (net worth) are shown in the Statement of Movements in Equity

Statement of Cash Flows
(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash was provided from:		
Taxation Revenue	17,269	17,057
License and Registration Fees	9,662	14,224
Development Partner Contributions	6,004	8,455
Other Sovereign Revenues	705	688
Investment Income	168	518
Other Operating Receipts	1,293	1,267
Total Cash Provided from Operations	35,101	42,209
Cash was disbursed to:		
Personnel payments	19,405	17,913
Operating payments	11,552	10,775
Subsidies and transfers	6,523	6,812
Finance costs	1,009	1,009
Total Cash Disbursed from Operations	38,489	36,509
Net Cash Flows from Operations	(3,388)	5,700
CASH FLOWS FROM INVESTING ACTIVITIES		
Cash was provided from		
Repayment of advances from GBEs	225	106
Total Cash Provided from Investing Activities	225	106
Cash was disbursed to:		
Purchase of physical assets and capital works	6,547	7,779
Advances to GBEs	246	1,065
Total Cash Disbursed to Investing Activities	6,793	8,844
Net Cash Flows from Investing Activities	(6,568)	(8,738)
CASH FLOWS FROM FINANCING ACTIVITIES		
Cash was provided from:		
Drawdown of domestic loans	3,456	1,046
Drawdown of foreign loans	3,579	3,536
Net Receipts/(Payments) from Trust Funds	226	100
Total Cash Provided from Financing Activities	7,261	4,682
Cash was disbursed to:		
Repayment of domestic loans	1,112	909
Repayment of foreign loans	2,297	3,164
Total Cash Disbursed to Financing Activities	3,409	4,072
Net Cash Flows from Financing Activities	3,852	610
Net Increase / (Decrease) in Cash Held	(6,103)	(2,428)
Add Opening Cash Balances	24,249	24,249
Closing Cash Balance	18,146	21,821

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Movements in Equity
(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
Opening Equity Balance		
Recurrent Fund	5,990	8,842
Development Fund	11,805	8,889
Special Reserve	-	-
Depreciable Fixed Assets Revaluation Reserve	111,943	111,943
Opening Equity balance	129,738	129,674
Net Surplus/(Deficit)		
Recurrent Fund	(8,816)	(2,852)
Development Fund	(1,114)	2,916
Net Surplus/(Deficit)	(9,930)	64
Closing Equity Balance		
Recurrent Fund	(2,826)	5,990
Development Fund	10,691	11,805
Depreciable Fixed Assets Revaluation Reserve	111,943	111,943
Closing Equity Balance	119,808	129,738

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Movements in Equity (continued)
(for the year ending 31 December 2022)

Recurrent Fund Balance

	2022 vatu million	2021 vatu million
Recurrent Fund Opening Balance	5,990	8,842
Net Surplus/(Deficit) for the year	(8,816)	(2,852)
Recurrent Fund Closing Balance	(2,826)	5,990

The Net Surplus/(Deficit) for the year includes depreciation on all fixed assets.

Development Fund Balance

	2022 vatu million	2021 vatu million
Development Fund Opening Balance	11,805	8,889
Surplus/(Deficit) for the year	(1,114)	2,916
Development Fund Closing Balance	10,691	11,805

The Development Fund Balance represents amounts contributed by Development Partners for Development Projects which have not been spent yet. These amounts are held in reserve against each approved project until committed for expenditure by the Ministry or Agency managing the project. Development Partner contributions are deposited to a separate trust account at the Reserve Bank.

Reconciliation of Outstanding Liability for Unspent Development Partner Contributions and the Development Fund Bank Account

	2022 vatu million	2021 vatu million
Development Fund Balance Reconciliation		
Unspent Development Partner Contributions for Projects Balance	10,691	11,805
Development Fund Bank Account Balance	10,679	11,075
Cash Owing/(Surplus) in Development Fund Bank Account	12	730
Balance of other bank accounts (to meet cash owing to the Development Fund)	7,467	10,746

Development Partner contributions are deposited to a separate trust account at the Reserve Bank. The Government makes payments for Development Partner projects from the Main Recurrent Bank Account, then withdraws sufficient funds from the Development Fund Trust Account to meet expected payments for the next month. As such the balance of the Development Fund Bank Account may vary from the total outstanding liability. The difference between the outstanding liability for unspent Development Partner contributions and the balance at the bank account is shown in the reconciliation above.

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Movements in Equity (continued)
(for the year ending 31 December 2022)

Special Reserve Balance

	2022 vatu million	2021 vatu million
Special Reserve Opening Balance	-	-
Transfer to Recurrent fund	-	-
Special Reserve Closing Balance	-	-

The Special Reserve has been transferred to the Recurrent fund in 2020. There is no movement in 2022. The Special Reserve represented items brought onto the statement of financial position during the move from cash to accrual accounting. This was pre-2010. It is considered appropriate to transfer the balance to the Recurrent fund given the time elapsed.

Assets Revaluation Reserve Balance

	2022 vatu million	2021 vatu million
Asset Revaluation Reserve Opening Balance	111,943	111,943
Revalued fixed asset movements	-	-
Asset Revaluation Reserve Closing Balance	111,943	111,943

An exercise to identify and revalue all assets was performed in 2016 and 2020. There is no movement in 2022 as no revaluation was performed. Further work is anticipated before the full extent of assets is shown on the Statement of Financial Position.

	2022 vatu million	2021 vatu million	Movement vatu million
Breakdown of Asset Revaluation Reserve Balance by Asset Class			
Land	46,282	46,282	-
Buildings & other structures	31,394	31,394	-
Plant & Equipment	146	146	-
IT & Communications Infrastructure	3,089	3,089	-
Roads Infrastructure	9,966	9,966	-
Electricity Infrastructure	12,695	12,695	-
Port and Wharf Infrastructure	480	480	-
Water Supply Infrastructure	3,543	3,543	-
Airport Infrastructure	3,675	3,675	-
Other Assets	672	672	-
Grand Total	111,943	111,943	-

See Note 12 for further details on the 2020 revaluation.

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Borrowings
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Foreign Currency Borrowings		
Opening Balance	39,789	40,232
Principal drawdowns	3,579	3,536
Principal Repayments	(2,297)	(3,164)
Foreign Exchange changes	(149)	(815)
Closing Balance	40,922	39,789
Domestic Borrowings		
Opening Balance	8,179	8,042
Principal drawdowns	3,456	1,046
Principal Repayments	(1,112)	(909)
Closing Balance	10,523	8,179
Total Borrowings		
Opening Balance	47,968	48,274
Principal drawdowns	7,035	4,582
Principal Repayments	(3,409)	(4,072)
Foreign Exchange changes	(149)	(815)
Closing Balance	51,446	47,968

This Statement summarises movements in foreign and domestic borrowings for each year. A detailed Statement of borrowings by currency and individual loan balances is included on the following pages. Further information of borrowings is included in Note 17: Financial Instruments.

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Foreign Currency Borrowing by Currency
(as at 31 December 2022)

	2022	2021
	vatu million	vatu million
Foreign Currency Borrowings by Currency		
Chinese Yuan Renminbi	16,263	16,162
Japanese Yen	7,124	8,013
IDA Special Drawing Rights	11,607	10,150
US Dollar	5,928	5,463
Total Foreign Currency Borrowings	40,922	39,788

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Borrowings – Detailed
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Asian Development Bank Loans		
DFI / Development Bank of Vanuatu	138	143
Santo Wharf	139	169
Santo Wharf Supplementary	115	133
Urban Infrastructure	545	613
Comprehensive Reform Program	1,529	1,667
Cyclone Dani	81	93
Port Vila Urban Development Project ADB	433	456
Interisland Shipping Support Project	1,968	1,402
Cyclone Pam Road Reconstruction Project	784	787
Total Asian Development Bank Loans	6,204	5,463
International Development Association Loans		
Agriculture Extension	57	58
Multiproject Loan	120	120
Primary & Secondary Education	232	252
Housing	57	59
Vanuatu Reconstruction Project	2,534	2,174
Vanuatu Aviation Investment Project	7,681	7,141
Vanuatu Rural Energy Electrification Project II	20	19
Pacific Resilience Program	629	327
Total IDA Loans	11,331	10,150
China Loan (Concessional Loan)		
Vanuatu Road Rehabilitation Project	5,132	5,918
Road Rehabilitation Project Phase 2	4,143	4,700
Luganville Wharf Project	4,828	4,174
Pentecost Road Phase I	2,160	1,370
Total China Loan (Concessional Loan)	16,263	16,162
JICA Loans		
Port Vila Lapetasi Wharf Development Project JICA	7,124	8,013
Total JICA Loans	7,124	8,013
Total Foreign Currency Loans	40,922	39,789
Domestic Borrowings	10,523	8,179
Total Borrowings	51,446	47,968

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Commitments
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Capital Commitments		
Due within 1 year	-	385
Due within 2 to 5 years	-	-
Due after 5 years	-	-
Total Capital Commitments	-	385
Operating Commitments		
Due within 1 year	40	51
Due within 2 to 5 years	69	12
Due after 5 years	71	-
Total Operating Commitments	180	63
Total Commitments	180	448

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Specific Fiscal Risks (as at 31 December 2022)

Statement of Contingent Liabilities and Contingent Assets

	2022 vatu million	2021 vatu million
Quantifiable Contingent Liabilities		
Guarantees and indemnities	2,840	2,840
Uncalled capital	3,775	3,775
Legal proceedings and disputes	225	186
Total Quantifiable Contingent Liabilities	6,840	6,801
Quantifiable Contingent Assets		
Legal proceedings and disputes	702	587
Total Quantifiable Contingent Assets	702	587

The Contingent Liabilities Legal proceedings and disputes estimates the amount of Contingent Liabilities likely to be paid out, rather than the total amount that the Government is being sued for. In the extremely unlikely event that the Government loses all its court cases, and the maximum compensation is awarded against the Government, the amount of Liability will be 13,856 million vatu (103,107 million vatu – 2021).

List of Material Contingent Liabilities and Contingent Assets

Contingent liabilities are costs that the Government will have to face only if a particular event occurs. Contingent assets are potential assets dependent on a particular event occurring. The likelihood of each event occurring, and the contingent asset or contingent liability being realised varies greatly. In many cases it is unlikely that the contingent asset or liability will ever be realised.

Only contingent liabilities and assets greater than 50 million vatu (excluding Legal proceedings and disputes) are disclosed separately. Contingent liabilities or contingent assets below this amount are included in the Statement totals above but are not included in this list. Where a contingent liability or asset is unquantifiable but is considered material, it is also included in this list. Material contingent liabilities and assets are as follows:

		2022 vatu million	2021 vatu million
Guarantees and Indemnities			
Air Vanuatu	Loan guarantees given to VNPF, BRED Bank and Aircraft leasing companies to support the ongoing activity of the National airline, Air Vanuatu.	2,639	2,639
Pacific Aviation Security Office	Loan guarantee given to the Asian Development Bank for 25% of a SDR 1,033,00 (approx USD \$1.9m) loan given to the Pacific Aviation Security Office.	161	161
Vanuatu Institute of Technology (VT)	For the Purchase of Sky Garden Hotel	40	40
Total Guarantees and Indemnities		2,840	2,840

The accompanying notes and accounting policies are an integral part of these statements.

List of Material Contingent Liabilities and Contingent Assets (continued)

		2022 vatu million	2021 vatu million
Uncalled Capital and Non Interest Bearing (NIB) Promissory Notes			
International Monetary Fund	NIBs for Vanuatu's membership with the International Monetary Fund	2,125	2,125
Asian Development Bank	NIBs for membership Subscription (USD \$201,000) and uncalled capital subscriptions for Vanuatu's membership with the Asian Development Bank (USD \$2,762,000)	304	304
Asian Development Bank	Proposed General Capital Increase for Asian Development Bank member contributions	1,346	1,346
Total Uncalled Capital and NIB Promissory Notes		3,775	3,775

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Segments - Statement of Financial Activity of the Development Fund (for the year ending 31 December 2022)

	Development Fund	
	2022	2021
	vatu million	vatu million
Opening Balance	11,805	8,889
Contributions from Development Partners		
Australia	1,676	3,706
New Zealand	266	781
World Bank	1,095	837
South Pacific Commission	7	2
United Nations	263	431
European Union	1	40
Vanuatu Government	936	2,259
Japan	20	-
World Health Organisation	90	92
France	39	8
China Contributions	196	-
ADB Contributions	90	509
Other Development Partner Contributions	795	583
Other revenue	163	256
Total Contributions from Development Partners	5,637	9,504
Loans from Development Partners for Development Fund Projects		
China	1,670	2,405
ADB	1,075	97
World Bank loans	654	1,034
Total Loans from Development Partners for Development Fund Projects	3,399	3,536
Expenditure by Ministry		
Infrastructure & Public Utilities	4,679	4,631
Finance & Economic Management	974	1,174
Health	1,298	764
Education	1,407	1,533
Internal Affairs	24	106
Lands, Mines & Water Resources	283	281
Justice and Community Services	22	43
Constitutional Areas of Government	40	29
Agriculture, Quarantine, Forestry & Fisheries	103	64
Tourism, Trade, Commerce and Ni-Vanuatu Business	180	100
Prime Ministers' Office	589	778
Foreign Affairs and External Trade	207	1
Youth Development & Training	12	21
Climate Change Adaptation, Geohazards, Meteorology and Energy	308	403
Other	24	-
Total Expenditure	10,150	9,928
Development Fund surplus/(deficit)	(1,114)	3,043
Development Fund balance excluding advances	10,691	11,932
Less advances from Development Fund	(70)	(127)
Closing Balance	10,621	11,805

The accompanying notes and accounting policies are an integral part of these statements.

**Statement of Segments - Statement of Financial Performance of the
Recurrent Fund**
(for the year ending 31 December 2022)

	2022 vatu million	Recurrent Fund 2021 vatu million
Revenue		
Non-Exchange Taxation, Regulatory Fees and Fines Transactions		
Taxation revenue	17,507	15,987
License and registration fees	9,728	14,237
Other Sovereign revenues	792	941
Non-Exchange Transfer Revenue		
Contributions from Development Partners	990	2,601
Total Revenue through non-Exchange Transactions	29,017	33,766
Exchange Transactions		
Charges and recoveries	1,278	1,268
Investment income	960	1,197
Total Revenue Earned through Exchange Transactions	2,238	2,465
Other Revenue		
Foreign currency gains/(losses)	47	815
Total Other Revenue	47	815
Total Revenue	31,302	37,046
Expenses		
Personnel expenses	20,244	19,046
Operating expenses	6,308	8,108
Grants, subsidies and transfer payments	5,695	5,960
Finance costs	941	890
Depreciation of assets	6,548	6,039
Impairment of Receivables	357	424
Total Expenses	40,093	40,467
Revenue less Expenses	(8,791)	(3,421)
Net surplus/(deficit), less distributions, attributable to Government Business Enterprises	(25)	569
Recurrent Fund Operating Bal (movement for the yr)	(8,816)	(2,852)
Reconciliation with Consolidated Operating Balance		
Recurrent Fund Operating Balance	(8,816)	(2,852)
Development Fund Movement (inc advances)	(1,114)	2,916
Consolidated Operating Balance	(9,931)	64

The accompanying notes and accounting policies are an integral part of these statements.

Statement of Accounting Policies

Reporting Entity

The Government's economic entity includes Ministries; Government Departments, Government controlled financial institutions and all other Government owned or controlled entities.

The financial statements predominantly reflect the financial transactions and related information in respect of Ministries and Government Departments. They also include an assessment of the Government's financial interest in Government institutions and corporate entities.

The financial transactions and related information in respect of Schools (except for School assets), Provincial Governments and Municipal Governments are not included in these financial statements.

Accounting Policies

The financial statements have been prepared in accordance with the requirements of Section 17 of the Public Finance and Economic Management Act (Consolidated Edition 2020), the Public Finance and Economic Management Regulation and, where practicable, in compliance with International Public Sector Accounting Standards (IPSAS) as issued by the International Federation of Accountants.

The financial statements have been prepared on an accrual basis and under the historical cost convention unless otherwise stated.

Reporting period

The reporting period for these financial statements is the year ended 31 December 2022.

Basis of Combination

All core Government Ministries, Agencies and Departments' assets, liabilities, net assets/equity, revenue, expenses and cash flows are combined and are presented as those of a single economic entity – the Government. Corresponding assets, liabilities, revenues and expenses are added together line by line and transactions and balances between entities are eliminated on combination.

The Government's investments in government institutions, corporate entities and the Reserve Bank of Vanuatu are recorded using the equity method of accounting. In determining the amount at which these investments are carried in the year-end Statement of Financial Position an adjustment is made, using the equity method of accounting, for changes to the Government's share of the net assets of these entities during the reporting period, based on their latest available financial statements and subsequent financial developments. Adjustments to the carrying values of these investments are taken to the Statement of Financial Performance.

Revenue

Revenue levied through non-Exchange transactions

In a non-exchange transaction, an entity either receives value from another entity without directly giving approximately equal value in exchange or gives value to another entity without directly receiving approximately equal value in exchange. Payments of taxes, regulatory fees and fines, does not, of itself, entitle a payer to an equivalent value of services or benefits, as there is no direct relationship between payment and receiving Government services and transfers.

Government revenues arising from non-Exchange revenue are recognised when the transaction or event-giving rise to the revenue occurs. For the main revenues in this class, the event upon which revenue is recognised is as follows:

Revenue type	Revenue recognition event
Value added tax	the purchase or sale of taxable goods and services during the taxation period;
Import duties, excises and tariffs	the movement of dutiable goods across the customs boundary (or out of bond);
Property taxes	the passing of the date on which taxes are levied
Licences and registrations	When payment for the fee or charge is made
Other taxes	When the debt to the Government arises

Revenue earned through Exchange Transactions

Exchange transactions are where one entity receives assets or services, or has liabilities extinguished, and directly gives approximately equal value (primarily in the form of cash, goods, services, or use of assets) to another entity in exchange.

If revenue has been earned by the Government in exchange for the provision of goods or services to third parties, the Government receives its revenue through operations. Such revenue is recognised when it is earned.

Investment income is recognised in the period in which it is earned. Interest income arising on loans made to related entities is accrued on a time basis by reference to the principal outstanding, the interest rate applicable and the relevant foreign exchange rate.

Dividend income from investments in related entities is recognised in the period when it is earned where the related entity has finalised their financial statements, otherwise it is recognised when received.

Other Revenue

Realised gains from sales of assets or the early repurchase of liabilities are recognised in the Statement of Financial Performance in the period in which the transaction occurs.

Unrealised foreign exchange gains on monetary assets and liabilities are recognised in the Statement of Financial Performance.

Unrealised gains arising from changes in the value of property, plant and equipment are recognised as at balance date. To the extent that a gain reverses a loss previously charged to the Statement of Financial Performance, the gain is credited to the Statement of Financial Performance. Otherwise, gains are credited to an asset revaluation reserve for that class of asset.

Expenses

General expenses

Expenses are recognised in the period to which they relate.

Grants and subsidies

Where grants and subsidies are discretionary until payment, the expense is recognised when the payment is made. Otherwise, the expense is recognised when the specified criteria have been fulfilled and notice has been given to the Government.

Losses

Realised losses arising from the sales of assets or the early repurchase of liabilities are recognised in the Statement of Financial Performance in the period in which the transaction occurs.

Unrealised foreign exchange losses on monetary assets and liabilities are recognised in the Statement of Financial Performance.

Unrealised losses (excluding foreign-exchange losses) arising from changes in the value of property, plant and equipment are recognised at balance date. Unrealised losses are first applied against any revaluation reserve for that class of asset. The balance, if any, is charged to the Statement of Financial Performance.

Foreign currency transactions

Transactions in foreign currencies are recorded at the Vatu rate ruling at the date of the transaction or at the contracted rate if the transaction is covered by a forward currency contract. Exchange differences arising on settlement of these transactions are recognised in the Statement of Financial Performance.

Outstanding foreign exchange contracts are translated at the closing exchange rate. Exchange gains and losses are included in the Statement of Financial Performance in the period in which they arise.

Exchange rates used in these financial statements are the mid rates as notified by the Reserve Bank of Vanuatu.

Depreciation

Depreciation is charged on a straight-line basis at rates calculated to allocate the cost or valuation of an item of property, plant and equipment, less any estimated residual value, over its estimated useful life. The estimated useful lives of different classes of property, plant and equipment are typically as follows:

Freehold Buildings	20 years
Infrastructure	10 to 65 years
Plant, equipment and vehicles	2 to 15 years.

Assets

Cash

Cash consists of cash on hand and cash held on current account or short-term deposits with banks. Current account overdraft balances are included in the cash balance.

Foreign monetary assets

Where short term monetary assets are subject to forward exchange contracts, they are translated into Vatu at the contract rate. Otherwise, foreign monetary assets are translated at the closing exchange rate.

Exchange gains and losses are included in the Statement of Financial Performance in the period in which they arise.

Receivables and advances

Receivables and advances are recorded at the amounts expected to be ultimately collected in cash. Advances designated in foreign currency are translated into Vatu at the closing exchange rate.

Inventories

Inventories are stated at the lower of cost and net realisable value.

Property, plant and equipment

Property, plant and equipment recognised in the statement of financial position for the first time have been recorded at its fair value, determined from market-based assessments and technical appraisals undertaken by professional valuers. The fair value is based on the estimated cost of construction or purchase, reduced by factors for age and deterioration of the asset. Further detail on the valuation methodology is provided in the Property, Plant and Equipment Note.

Subsequent asset acquisitions after revaluation are recorded at purchased cost or, where contributed by Development Partners or otherwise acquired at no cost or for a nominal consideration, at valuation being their fair value at the date of acquisition.

No revaluation was performed in 2022. The last revaluation dates for each class of Government assets are detailed in the table below:

Class of Assets	Last revaluation date
Land	31/12/2016
Buildings & other structures	31/12/2020
Plant and Equipment	Not performed
Motor Vehicles	Not performed
Ships and Boats	Not performed
IT & Communications Infrastructure	31/12/2020
Roads Infrastructure	31/12/2020
Electricity Infrastructure	31/12/2020
Port and Wharf Infrastructure	31/12/2020
Water Supply Infrastructure	31/12/2020
Airport Infrastructure	31/12/2020
Other Assets	Not performed

Liabilities

Borrowings

The Government's liabilities in respect of its public borrowings are recognised in the Statement of Financial Position when the Government becomes a party to the contractual provisions of the respective loan instruments and are included initially at the Vatu equivalent of the loan draw down.

Unpaid balances of borrowings designated in and repayable in foreign currency are adjusted to consider currency movement. The mid-rate as notified by the Reserve Bank of Vanuatu is used. Interest costs are charged in the Statement of Financial Performance in the period in which they fall due. All exchange differences arising from currency fluctuations are included in the statement of financial performance, whether realised or not.

Employee entitlements

Employee entitlements to salaries and wages, annual leave and other similar benefits are recognised when they accrue to employees. The liability for employee entitlements is carried at the present value of the estimated future cash flows.

Commitments

Commitments are future expenses and liabilities to be incurred on contracts that have been entered into at balance date. Commitments include those operating and capital commitments arising from non-cancellable contractual or statutory obligations. Interest commitments on debts and commitments relating to employment contracts are not included in the Statement of Commitments.

Contingent liabilities and contingent assets

Contingent liabilities and contingent assets are recorded in the Statement of Specific Fiscal Risks at the point at which the contingency is evident.

NOTES TO THE FINANCIAL STATEMENTS

Note 1: Non-Exchange Taxation, Regulatory Fees and Fines Transactions Revenue

(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
Taxation Revenue		
Value Added Tax	10,357	8,451
Import duties	4,023	3,738
Excise taxes	2,779	3,073
Turnover Tax	(3)	105
Road Tax	85	99
Gaming duty and taxes	201	212
Rent Tax	3	52
Export duties	29	223
Other taxes	18	18
Total Taxation Revenue	17,492	15,971
License and Registration Fees		
Honorary Citizenship Program Fees	7,659	12,871
Business Licences & Registration	520	29
Vehicle Licences	327	271
Company Stamp Duties	146	125
Fishing Licences & Registration	320	387
Work Permits	147	142
Residency Permits	389	275
Shipping Registration Fees	92	16
Telecommunication and Radio Licenses	-	-
Registration - Offshore Companies	82	88
Other license and registration fees	81	80
Total License and Registration Fees	9,763	14,284
Other Non-Exchange Revenues		
Land rents, registrations and premiums	786	934
Court Fines	6	7
Total Other Non-Exchange Revenues	792	941
Total Non-Exchange Taxation, Regulatory Fees and Fines Transactions Revenue	28,047	31,196

Note 1 Continued: Tax Exemptions and Relief
(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
Economic Relief		
Diesel fuel for generation of electric power	73	330
Manufacturing or processing goods	68	138
Tourism Development Projects	-	2
Other Economic Relief	13	2
Total Economic Relief	154	472
Other Relief		
Goods donated or imported for aid projects	295	920
Melanesian Spearhead Group	199	634
Goods imported under international convention or agreement	14	160
Charitable Reliefs for Non-Profit Making Groups and Organisations	22	62
Temporarily Imported Goods	3	10
Promotion of National Safety, Health or Well-Being	72	1
Total Other Relief	606	1,787
Total Tax Exemptions and Relief	760	2,259

Goods that are imported and meet certain conditions as detailed in Schedule III of the Customs Import and Export Duty Tariff are either exempt from duty or liable to duty at lower rates than would normally apply. This schedule outlines the import duties or tariffs that would have been collected if these exemptions and reliefs had not been applied. These amounts are not included as revenue for the year as they were never charged or collected and reflect tax policy issues made by the Government.

Tax exemption and relief information is provided by the Department of Customs and Inland Revenue.

Note 2: Charges and Recoveries
(for the year ending 31 December 2022)

The Charges and Recoveries class of revenue includes revenue that Ministries receive for goods or services that they provide. Property rentals mainly relate to rentals of Government Houses to Government employees at rates specified by the appropriate Commission or Act covering that class of employee.

	2022 vatu million	2021 vatu million
Charges and Recoveries		
General recoveries and charges	938	927
Port and Wharfage charges	108	99
Landing charges	-	4
Water Charges Recoveries	54	56
Property rentals	36	34
Marine Fees Charges	3	3
Firearms Licenses	6	9
Hospital Fees	53	78
Teacher's Licencing Fees	1	1
Election Fees	27	9
Passport Fees	154	177
Traffic Fines	14	13
Total Charges and Recoveries	1,394	1,410

Note 3: Investment Income
(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
Investment Income		
Interest Income		
Interest from Advances	192	80
Interest from bank deposits	144	194
Total Interest Income	336	274
Income from on-lent loans		
Northern Island Stevedoring Company Limited Income recognised from on-lent funds	576	576
Total Income from on-lent loans	576	576
Dividends		
Reserve Bank Dividends	-	299
Interchange Ltd Dividends	22	7
Ifira Wharf & Stevedoring Dividends	20	15
Northern Island Stevedoring Dividends	9	37
Total Dividends	51	358
Total Investment Income	963	1,208

Details of outstanding advance balances are included in Note 10: Advances. Details of the Government liability outstanding to the lending organisations are shown in the Statement of Borrowings.

The 576 million vatu from Northern Island Stevedoring Company Limited (NISCOL) income recognised from on-lent funds is recognising the improvements work carried out on the Luganville Wharf by NISCOL totalling 8.968 billion vatu. NISCOL have the right to use the wharf for the remainder of their 50-year concession agreement. However, the wharf remains an asset of the Government and is included in the asset register. The deferred revenue is recognising the value of the improvements work over the life of the concession agreement. These improvements will become the property of the Government at the end of the concession agreement. This is accounted for separately to the on-lent loan to NISCOL.

Note 4: Development Partner Contributions
(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
Contributions from Development Partners		
Australia	1,676	5,002
New Zealand	266	1,507
World Bank	1,096	843
Asian Development Bank	655	509
United Nations	263	431
South Pacific Commission Contributions	7	2
Japan	20	-
World Health Organisation	90	92
France	39	8
European Union	426	618
China	196	-
Other Contributions	793	566
Total Contributions from Development Partners	5,527	9,578
Reconciliation to Statement of Financial Activity of the Development Fund		
Add back:		
Government of Vanuatu contributions eliminated on consolidation	936	2,257
Loans from China	1,670	2,405
Loans from ADB	1,075	97
World Bank loans	654	1,034
Non Development Partner revenue to Development Fund	165	201
Less:		
Direct budget support (Non-Development Fund Contribution) provided by:		
New Zealand	-	(659)
European Development Fund	(425)	(579)
ADB	(565)	-
Direct donation of assets (Non-Development Fund Contribution) provided by:		
Australia	-	(1,296)
Development Partner Contributions per Development Fund	9,036	12,971

Contributions from Development Partners include only those contributions that have been received in cash for specific projects. Revenue, expenses and capital purchases for these projects are accounted for in full within these Statements. Aid in Kind, technical assistance, expenses and capital purchases that have been paid for or provided directly by external Development Partners are not included as revenue in these statements. Loans to the Government from Development Partners are included as an inflow into the Development Fund, however, are not included as a revenue.

Note 5: Analysis of Expenses
(for the year ending 31 December 2022)

The following analysis provides a breakdown of expenses according to Ministry, except for Depreciation Expense, Accrued Leave Expense and Asset Purchases Reversed from Expenses. Asset Purchases Reversed from Expenses reflect accrual adjustments made to the accounts to move new asset purchases which were recognised as expenditure for appropriation purposes. These asset purchases have been taken out of the Statement of Financial Performance and recognised as asset additions in the Statement of Financial Position.

These expenses are recorded at a consolidated level and are not broken down to individual Ministries.

	2022 vatu million	2021 vatu million
Total Expenses by Ministry		
Education & Training	10,784	11,028
Finance & Economic Management	8,901	8,080
Infrastructure & Public Utilities	4,583	4,387
Health	4,817	4,132
Internal Affairs	3,371	3,163
Constitutional Areas of Government	2,687	2,283
Agriculture, Quarantine, Forestry & Fisheries	2,054	2,107
Lands, Geology & Mines	1,305	727
Justice and Social Welfare	622	605
Foreign Affairs & External Trade	862	578
Prime Ministers' Office	1,537	1,651
Commerce, Industry and Tourism	1,040	1,340
Youth Development & Training	324	315
Ministry of Climate Change Adaptation, Geohazards, Meteorology and Energy	907	980
Total Expenses by Minsitry	43,794	41,376
Expenses at consolidated level		
Depreciation expense	6,548	6,039
Accrued leave expense	211	907
Asset purchases reversed from expenses	(4,669)	(3,610)
Total Expenses at consolidated level	2,090	3,336
Total Expenses	45,884	44,712

Note 6: Personnel Expenses
(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
Personnel Expenses		
Salaries and wages	13,509	14,071
Housing allowances	1,066	1,017
Members of Parliament allowances and allocations	648	616
Employer contributions to VNPF	576	552
Family Allowance	163	172
Employee termination expenses and provisions	2,531	979
Subsistence Allowances	621	574
Overtime wages	129	104
Political gratuity allowances	376	168
Other employee allowances	1,332	1,014
Total Personnel Expenses	20,951	19,267

Personnel expenses represent the appropriate expenses for the approximately 6,000 employees of the Vanuatu Government. It includes all the teachers employed by the Teaching Services Commission but does not include Teachers funded directly by schools or school ancillary staff.

Note 7: Operating Expenses
(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
Operating Expenses		
General repairs and maintenance	1,018	1,430
Roads repair and maintenance	797	1,393
Vehicles fuel and maintenance	416	339
Electricity Utilities	450	423
Local travel and accommodation	991	1,103
Consultants Fees	1,092	838
Printing and Stationery	461	464
Equipment and vehicle hire	185	141
Court Costs	238	313
Medicine Supplies	945	354
Telecommunication expenses	311	285
International travel and accommodation	246	82
Accommodation rentals, rates and leases	331	225
Gas and Water Utilities	104	107
Freight charges	181	182
Contributions to International Organisations	239	155
Workshops and courses	40	36
Official entertainment	161	197
Cleaning	144	106
Audit fees	4	34
Expensed Assets	(595)	643
Food, rations and other emergency relief	380	321
Other Operating Expenses	2,287	1,802
Total Operating Expenses	10,426	10,973

Road repair and maintenance includes only contracts that have been outsourced to third party providers for road repairs and maintenance. The Public Works Department also spends significant amounts on road repairs and maintenance where the maintenance is carried out by its own internal staff. The cost of these types of repairs is recorded against line items such as fuel, aggregate materials and personnel costs. Significant road maintenance work that will extend the useful life of a road are capitalised and recognised in the Statement of Financial Position as an increase in the value of road assets.

Note 8: Grants, Subsidies and Transfer Payments
(for the year ending 31 December 2022)

	2022 vatu million	2021 vatu million
Grants and Subsidies		
General Grants and Subsidies	5,453	5,281
Grants to Provinces	106	198
Grants to non-profit institutions	20	57
Grants to Municipalities	18	11
Total Grants and Subsidies	5,597	5,062
Other Transfer Payments		
Student scholarships and study allowances	556	832
Contributions to International Organisations	10	14
Compensation and damages payments	496	264
Total Transfer Payments	1,062	1,110
Total Grants, Subsidies and Transfer Payments	6,659	6,172

Grants represent payments to Government related entities to enable them to provide services for the public good. Transfer payments are payments made by Government for which it receives no specific goods or services in return.

	2022 vatu million	2021 vatu million
Detailed Grants and Subsidies		
School operating grants and fee supplements	1,880	2,364
School Fees Subsidy	953	805
Small Medium Enterprises Grant	796	373
Vanuatu Tourism Office Grant	383	325
Grants to Provinces	239	204
Employment Stabilisation Grant	282	195
VARTC Grant	68	190
Shipping Support Subsidy	33	167
Industry Development Fund Grant	-	151
University of the South Pacific Grant	-	88
Vanuatu Agriculture College	86	86
Copra and Root Crop Subsidy	27	82
Utilities Regulatory Authority Grant	57	62
Vanuatu Broadcasting and Television Corporation (VBTC)	95	95
Vanuatu Maritime College Grant	50	54
Cultural Centre Grant	43	51
Vanuatu Investment Promotion Authority Grant	54	49
Grants to Youth and Sport Organisations	30	37
Chamber of Commerce Grant	47	37
Overseas Embassies, High Commissions and Consulates Grants	86	33
Vanuatu Archives Grant	20	20
Municipalities Grant	18	11
Other Grants	350	68
Total Grants and Subsidies	5,597	5,547

Note 9: Receivables
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Receivables from Exchange Transactions		
Non-Taxation Receivable	2,802	2,485
less: Impairment Allowance	(1,924)	(1,567)
Total Non- Taxation Receivables	878	918
Receivables from Non-Exchange Transactions		
Receivables from Non- Exchange Transactions	906	887
Total Receivables	1,784	1,805

	2022 vatu million	2021 vatu million
Reconciliation of Impairment Allowance on Receivables from Exchange Transactions		
At the beginning of the year	(1,567)	(1,146)
Additional provisions during the year	(357)	(424)
Recovered during the year	-	-
Written off during the year	-	-
At the end of the year	(1,924)	(1,567)

Note 10: Advances and Prepayments
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Advances		
Airports Vanuatu Ltd	7,314	7,114
Northern Island Stevedoring Company Ltd	8,969	8,969
Ifira Ports Development Services Ltd	9,619	9,829
Air Vanuatu Ltd	3,523	3,185
RBV - Non interest Bearing notes	157	157
Vanuatu Agricultural Development Bank	82	100
Vanuatu Broadcasting and Television Corporation	17	77
Employees	21	22
Other Advances	92	37
Total Advances	29,794	29,490
Prepayments		
Interchange Ltd	96	134
Port Vila Urban Development Project	0	7
Vanuatu Inter-island Shipping Support Project	26	12
Pacific Games	-	10
Brenwe Hydro Construction	68	68
Other prepayments	72	33
Total Prepayments	263	264

Advances to Northern Island Stevedoring Company Ltd (NISCOL) represent a loan from Exim Bank for the Luganville Wharf development. These funds have been on-lent to NISCOL. The wharf remains the property of the Government. NISCOL have a 50-year concession agreement for the right to use it. The loan will be recognised as revenue over the life of the concession and is included as a liability as deferred revenue. The concession started in 2015.

Advances to Ifira Ports Development Services Ltd (IPDS) represent the loan from Japan for the development of the Lapetasi Wharf which has been on-lent to IPDS. In this case the asset has been transferred to IPDS and removed from the Government asset register.

The prepayment to Interchange is for the Government's broadband connection on the submarine cable which is being recognised over 15 years. Other prepayments are for significant development fund projects which are being managed by the Vanuatu Project Management Unit.

Note 11: Investment in Government Business Enterprises
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Investment in Government Business Enterprises		
Opening balance	6,712	6,141
Attributable net surplus/(deficit) after distributions	(25)	569
Total Investment in Government Business Enterprises	6,687	6,712

The Investment in Government Business Enterprises (GBEs) represents the Government's interests in Government controlled corporations, financial institutions and other related commercial enterprises. The amount at which these investments are stated represents the Government's net equity share. Further work is required to accurately value each of the Government Business Enterprises and to bring their respective Statements of Financial Position up to date.

As noted in the Statement of Accounting policies, the Government's financial interest in GBEs is accounted for using the equity method of combination. The implications of this policy for the financial statements are as follows:

- Dividends received from GBEs are included in investment income. A breakdown of dividends received is provided in Note 3.
- The net surplus/(deficit) attributable to GBEs, net of distributions to the Government, is reported separately in the Statement of Financial Performance. The attributable surplus/(deficit) comprises the operating results of these entities.
- The Government's financial interest in GBEs is reported as a separate line in the Statement of Financial Position. A breakdown of the financial interest in each entity is provided in this note.
- Advances to GBEs are reported under Advances in the Statement of Financial Position. A breakdown of advances to GBEs is provided in Note 10.

Some other jurisdictions use an alternative presentation of GBEs and fully consolidate them on a line-by-line basis. This is the presentation that is recommended by International Public Sector Accounting Standards for GBEs that the Government effectively controls. The Government of Vanuatu is not able to consolidate controlled GBEs on a line-by-line basis at this stage.

Note 11: Investment in Government Business Enterprises (continued)
(as at 31 December 2022)

Movements in 2022 financial year

Movements in the 2022 financial year	Opening Balance	Attributable Net Surplus/ (Deficit) after distributions	Closing Balance
	vatu million	vatu million	vatu million
Air Vanuatu Limited	(3,680)	-	(3,680)
Airports Vanuatu Limited	3,511	-	3,511
Ifira Wharf & Stevedoring Limited	-	-	-
Ifira Port Development Services	270	-	270
Interchange Limited	99	-	99
Metenesel Estates Limited	-	-	-
National Bank of Vanuatu	1,004	124	1,128
National Housing Corporation	106	-	106
Northern Island Stevedoring Limited	54	6	60
Reserve Bank of Vanuatu	2,423	-	2,423
SinoFish	695	-	695
Utilities Regulatory Authority	61	-	61
Vanuatu Abattoirs	80	-	80
Vanuatu Agricultural Development Bank	821	-	821
Vanuatu Broadcasting & Television Corporation	226	-	226
Vanuatu Financial Service Commission	153	-	153
Vanuatu Investment Promotion Authority	(16)	-	(16)
Vanuatu Livestock Development	45	-	45
Vanuatu Post Limited	760	(155)	605
Vanuatu Telecommunication and Radiocommunication Regulator	80	-	80
Vanuatu Tourism Office	22	-	22
Rounding	(2)	-	(2)
Total Investment in GBEs	6,712	(25)	6,687

Note 11: Investment in Government Business Enterprises (continued)
(as at 31 December 2022)

Movements in 2021 financial year

Movements in the 2021 financial year	Opening Balance	Attributable Net Surplus/ (Deficit) after distributions	Closing Balance
	vatu million	vatu million	vatu million
Air Vanuatu Limited	(3,175)	(505)	(3,680)
Airports Vanuatu Limited	3,511	-	3,511
Ifira Wharf & Stevedoring Limited	-	-	-
Ifira Port Development Services	104	167	270
Interchange Limited	99	-	99
Metenesel Estates Limited	-	-	-
National Bank of Vanuatu	1,004	-	1,004
National Housing Corporation	106	-	106
Northern Island Stevedoring Limited	43	12	54
Reserve Bank of Vanuatu	2,423	-	2,423
SinoFish	-	695	695
Utilities Regulatory Authority	74	(12)	61
Vanuatu Abattoirs	80	-	80
Vanuatu Agricultural Development Bank	616	205	821
Vanuatu Broadcasting & Television Corporation	225	-	226
Vanuatu Financial Service Commission	144	8	153
Vanuatu Investment Promotion Authority	(17)	-	(16)
Vanuatu Livestock Development	45	-	45
Vanuatu Post Limited	760	-	760
Vanuatu Telecommunication and Radiocommunication Regulator	80	-	80
Vanuatu Tourism Office	22	-	22
Rounding	(1)		(2)
Total Investment in GBEs	6,141	570	6,712

Note 11: Investment in Government Business Enterprises (continued)
(as at 31 December 2022)

Government Shareholdings

The Government's percentage share of each GBE and the date of the last set of financial statements that they have submitted to the Government are shown in the table below:

Percentage of Shares held by the State	2022	2021	Last Financial Statements
Air Vanuatu Limited	100.00%	100.00%	2021 draft
Airports Vanuatu Limited	100.00%	100.00%	2019
Ifira Wharf & Stevedoring Limited	49.00%	49.00%	2019
Ifira Port Development Services	0.00%	0.00%	2019
Interchange Limited	12.50%	12.50%	2020
Metenesel Estates Limited	99.40%	99.40%	2003 draft
National Bank of Vanuatu	44.00%	40.00%	2022
National Housing Corporation	100.00%	100.00%	2019
Northern Island Stevedoring Limited	10.00%	10.00%	2022
Reserve Bank of Vanuatu	100.00%	100.00%	2019
Utilities Regulatory Authority	100.00%	100.00%	2021 draft
Vanuatu Abattoirs	32.00%	32.00%	2021 draft
Vanuatu Agricultural Development Bank	100.00%	100.00%	2020
Vanuatu Broadcasting & Television Corporation	100.00%	100.00%	2020
Vanuatu Financial Services Commission	33.90%	33.90%	2021
Vanuatu Investment Promotion Authority	100.00%	100.00%	2020
Vanuatu Livestock Development	100.00%	100.00%	2003
Vanuatu Post Limited	100.00%	100.00%	2017
Vanuatu Telecommunication and Radiocommunication Regulator	100.00%	100.00%	2020
Vanuatu Tourism Office	100.00%	100.00%	2019

The Government of Vanuatu has faced difficulties in obtaining the financial statements of certain Government Business Enterprises. In the absence of audited financial statements, movements in balances and shareholding percentage of GBEs are taken from draft reports. Many of the GBEs are either late in compiling their financial statements or in some cases do not have the capacity to prepare a set of financial statements.

Note 12a: Property, Plant and Equipment
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Gross Carrying Value		
Land	66,598	66,598
Buildings & other structures	32,785	32,354
Plant and Equipment	2,950	2,471
Motor Vehicles	3,992	3,694
Ships and Boats	3,295	3,287
IT & Communications Infrastructure	3,897	3,792
Roads Infrastructure	18,684	16,310
Electricity Infrastructure	12,692	12,006
Port and Wharf Infrastructure	6,546	6,367
Water Supply Infrastructure	3,995	3,908
Airport Infrastructure	8,761	8,701
Other Assets	203	203
Total Gross Carrying Value	164,398	159,691
Accumulated Depreciation		
Buildings & other structures	3,294	1,655
Plant and Equipment	1,017	790
Motor Vehicles	2,901	2,502
Ships and Boats	2,052	1,722
IT & Communications Infrastructure	552	274
Roads Infrastructure	3,111	1,554
Electricity Infrastructure	1,365	659
Port and Wharf Infrastructure	1,291	637
Water Supply Infrastructure	128	64
Airport Infrastructure	1,348	675
Other Assets	76	56
Total Accumulated Depreciation	17,135	10,588
Net Carrying Value		
Land	66,598	66,598
Buildings & other structures	29,491	30,699
Plant and Equipment	1,933	1,681
Motor Vehicles	1,091	1,192
Ships and Boats	1,243	1,565
IT & Communications Infrastructure	3,345	3,518
Roads Infrastructure	15,573	14,756
Electricity Infrastructure	11,327	11,347
Port and Wharf Infrastructure	5,255	5,730
Water Supply Infrastructure	3,867	3,844
Airport Infrastructure	7,413	8,026
Other Assets	127	147
Total Net Carrying Value	147,263	149,103

Note 12b: Property, Plant and Equipment Detailed Movement
(as at 31 December 2022)

year ended 31/12/2022	Land	Buildings & other structures	Plant & Equipment	Motor Vehicles	Ships and Boats	IT & Communications	Roads	Electricity	Ports and Wharves	Water Supply	Airports	Other Assets	Total
	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million
Basis of measurement	Fair value	Fair value	Cost	Cost	Cost	Fair value	Fair value	Fair value	Fair value	Fair value	Fair value	Cost	
Last revaluation date	31/12/2016	31/12/2020	N/a	N/a	N/a	31/12/2020	31/12/2020	31/12/2020	31/12/2020	31/12/2020	31/12/2020	N/a	
Depreciation method	n/a	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	
Opening Net Value													
At fair value 31 December 2021	66,598	32,355	2,471	3,694	3,287	3,792	16,310	12,006	6,367	3,908	8,701	202	159,690
Accumulated depreciation at 31 December 2021	-	(1,655)	(790)	(2,501)	(1,722)	(274)	(1,554)	(659)	(637)	(64)	(675)	(56)	(10,587)
Opening Net Value	66,598	30,699	1,681	1,193	1,564	3,518	14,757	11,347	5,730	3,844	8,026	146	149,103
Movements in fair value													
Additions	-	431	479	298	8	106	2,374	686	179	87	60	-	4,707
Total movements in Fair Value	-	431	479	298	8	106	2,374	686	179	87	60	-	4,707
Movements in Accumulated Depreciation													
Depreciation and amortisation	-	(1,639)	(227)	(399)	(330)	(278)	(1,557)	(705)	(655)	(63)	(674)	(20)	(6,548)
Total movements in Acc. Dep	-	(1,639)	(227)	(399)	(330)	(278)	(1,557)	(705)	(655)	(63)	(674)	(20)	(6,548)
Net Value													
At fair value 31 December 2022	66,598	32,785	2,950	3,992	3,295	3,897	18,684	12,692	6,546	3,995	8,761	202	164,398
Accumulated Depreciation at 31 December 2022	-	(3,294)	(1,017)	(2,900)	(2,052)	(552)	(3,111)	(1,365)	(1,291)	(128)	(1,348)	(76)	(17,135)
Closing Value 31 December 2022	66,598	29,491	1,933	1,091	1,243	3,345	15,574	11,327	5,255	3,867	7,412	126	147,263

Note 12b: Property, Plant and Equipment Detailed Movement
(Comparative as at 31 December 2021)

year ended 31/12/2021	Land	Buildings & other structures	Plant & Equipment	Motor Vehicles	Ships and Boats	IT & Communications	Roads	Electricity	Ports and Wharves	Water Supply	Airports	Other Assets	Total
	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million
Basis of measurement	Fair value	Fair value	Cost	Cost	Cost	Fair value	Fair value	Fair value	Fair value	Fair value	Fair value	Cost	
Last revaluation date	31/12/2016	31/12/2020	N/a	N/a	N/a	31/12/2020	31/12/2020	31/12/2020	31/12/2020	31/12/2020	31/12/2020	N/a	
Depreciation method	n/a	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	Straight line	
Opening Net Value													
At fair value 31 December 2020	66,598	31,880	2,034	3,264	1,987	3,750	14,808	11,059	6,292	3,805	8,684	202	154,365
Accumulated depreciation at 31 December 2020	-	(37)	(600)	(2,127)	(1,523)	(3)	(195)	(14)	-	(2)	(5)	(36)	(4,543)
Opening Net Value	66,598	31,842	1,435	1,136	464	3,747	14,613	11,046	6,293	3,803	8,679	167	149,823
Movements in fair value													
Additions	-	475	436	430	1,300	41	1,502	947	74	103	16	-	5,325
Revaluation	-	-	-	-	-	-	-	-	-	-	-	-	-
Disposal	-	-	-	-	-	-	-	-	-	-	-	-	-
Transfers	-	-	-	-	-	-	-	-	-	-	-	-	-
Total movements in Fair Value	-	475	436	430	1,300	41	1,502	947	74	103	16	-	5,325
Movements in Accumulated Depreciation													
Depreciation and amortisation	-	(1,618)	(190)	(374)	(199)	(271)	(1,359)	(645)	(637)	(62)	(669)	(20)	(6,044)
Reversal of revaluation acc. dep.	-	-	-	-	-	-	-	-	-	-	-	-	-
Reversal of disposed assets acc. dep.	-	-	-	-	-	-	-	-	-	-	-	-	-
Total movements in Acc. Dep	-	(1,618)	(190)	(374)	(199)	(271)	(1,359)	(645)	(637)	(62)	(669)	(20)	(6,044)
Net Value													
At fair value 31 December 2021	66,598	32,355	2,471	3,694	3,287	3,792	16,310	12,006	6,367	3,908	8,701	202	159,690
Accumulated Depreciation at 31 December 2021	-	(1,655)	(790)	(2,501)	(1,722)	(274)	(1,554)	(659)	(637)	(64)	(675)	(56)	(10,587)
Closing Value 31 December 2021	66,598	30,699	1,681	1,193	1,564	3,518	14,757	11,347	5,730	3,844	8,026	146	149,103

Note 12: Property, Plant and Equipment (continued)

The following table details the class of assets and their last revaluation date. The revaluation was performed internally by management using a rolling valuation approach. The revaluation approach was to take the previous valuations and update via inspections. In 2022 there was no revaluation performed. The 2020 revaluations led to a downwards revaluation of 14.41 billion vatu. These revaluations included the identification and valuation of a few assets that were not accounted for previously.

Class of Assets	Last revaluation date
Land	31/12/2016
Buildings & other structures	31/12/2020
Plant and Equipment	Not performed
Motor Vehicles	Not performed
Ships and Boats	Not performed
IT & Communications Infrastructure	31/12/2020
Roads Infrastructure	31/12/2020
Electricity Infrastructure	31/12/2020
Port and Wharf Infrastructure	31/12/2020
Water Supply Infrastructure	31/12/2020
Airport Infrastructure	31/12/2020
Other Assets	Not performed

The revaluations were undertaken by the Department of Finance and Treasury's Asset Management and Valuation Unit (AVMU) under the supervision of APV Valuers and Asset Management (who are international public sector financial reporting valuation experts).

All revalued assets have been revalued using the 'cost approach' as defined in *IPSAS 17 Property Plant and Equipment*. This method is based on determining the replacement cost of the modern equivalent and adjusting for the level of consumed future economic benefit and impairment to arrive at the Fair Value.

To determine the Fair Value the following process was applied –

- Determining the Replacement Cost (Gross) by:
 - assessing the dimensions of the component of the asset multiplied by a relevant unit rate (based on the component of the asset's design, specification and materials used), and
 - adjusting for any location, geographical or other adjustments.
- Determining the components. All assets are split into the components used for asset management planning purposes. For example:
 - roads are split into formation, pavement and surface.
 - water and sewerage infrastructure are split to detailed levels such as pumps, pipes, intakes, tanks, control equipment, etc.; and
 - buildings are split into structure, roof, internal fit out and floor coverings, etc.
- Further splitting components into short-life and long-life parts based on planned asset management strategies. The short-life part representing the estimated cost of the next renewal treatment and the long-life parts representing the balance or recyclable part.
- Determining the Depreciable Amount for each part by assessing the Residual Value (typically zero)
- Assessing the level of remaining service potential of the Depreciable Amount of each component's part (short-life and long-life parts).
 - For the short-life part this is based on a Consumption Rating that primarily considers the component specific factors (such as physical condition and maintenance history) and considering obsolescence. This is primarily aimed at estimating the cost to bring the part back to 'as new' (as a market participant would consider when pricing the asset).

Note 12: Property, Plant and Equipment (continued)

- For the long-life part the valuer uses professional judgment to estimate the level of remaining service potential. This effectively is an overall assessment of obsolescence (function, technical and economic) and the impact it may have on a market participants view of price. For example – despite an asset being aged and part way through its lifecycle, providing the asset is expected to be operational for many years to come the market impact of obsolescence may be insignificant or minor (e.g., road pavement). Likewise, if there is an expectation that the asset has a limited remaining life the impact of obsolescence will be greater as the asset nears the end of its life.
 - Summing the calculated value of the short-life part and long-life part together to determine the value of each component.
 - Summing the value of each component together to determine the Fair Value.
- Assets acquired during 2022 were brought to account at cost and depreciated. This is deemed to represent Fair Value at the end of the year of acquisition.

The capitalisation policy recognises assets with a purchase price over 1 million vatu. The movement in the Revaluation Surplus is detailed in the Statement of Movements in Equity.

Note 13: Payables and Provisions (as at 31 December 2022)

	2022 vatu million	2021 vatu million
Payables and Provisions		
Accounts Payable and accruals	5,342	3,484
Interest Payable	467	535
Other Payables and Provisions	50	(8)
Total Payables and Provisions	5,859	4,011

Accounts Payable and accruals includes outstanding supplier invoices for goods or services that have been provided and accruals for purchase orders that have been committed but not yet processed for payment.

Note 14: Employee Entitlements
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Employee Entitlements		
Wages, salaries and annual leave	2,225	2,010
Severance and retirement allowances	22,342	20,916
Total Employee Entitlements	24,567	22,926

Estimated date for payment of severance and retirement allowances

Current (within next 12 months)	1,037	3,294
Between 1 and 2 years	516	976
Between 2 and 5 years	1,799	2,498
More than 5 years	18,990	14,149
Total Severance and retirement allowances	22,342	20,916

The provision for employees' entitlements to wages, salaries and annual leave represents the amount that the Government has a present obligation to pay resulting from employees' services provided up to balance date. The provision has been calculated at amounts based on current wage and salary rates and includes all current leave balances for the approximately 7,000 employees of the Vanuatu Government.

The provision for severance and retirement allowances represents the present value of the estimated future cash outflows to be made by the Government of Vanuatu resulting from employees' services to balance date. The movement in the provision is recognised in the Statement of Financial Performance.

In determining the liability for employee's entitlements, consideration has been given to staff departures in previous years and the likelihood that newly employed staff will reach either retirement age or the current requirement of one year of service for severance allowances to be paid out.

The current portion of the provision for severance and retirement allowances includes all allowances for staff who are already 55 years of age or will reach 55 years of age within the next 12 months. It also includes a provision for the average number of staff that resign each year and who have worked more than 1 year and are therefore entitled to severance payments.

The Public Service Commission has leave entitlements for employees who have worked more than 20 years. The start date for all employees who were employed before Independence is 1 August 1980. Leave entitlements based on long service are as follows:

Length of service	Leave entitlement
Less than 20 years	21 days leave per year
20 to 25 years	24 days leave per year
25 to 30 years	48 days leave per year
More than 30 years	72 days leave per year

There are an increasing number of employees who have now worked more than 25 or 30 years. As such the annual leave liability is increasing every year as most employees with such a leave entitlement of 48 or 72 days per year do not use all their leave in the year it is accrued.

Note 15: Trust Account Liabilities
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Trust Account Liabilities		
Custom Owners Trust Account (Land rents and premiums)	865	857
Security & Safety Levies	241	222
Quarry and Mineral Royalties	118	99
Maritime Participation & Investigation Fund	263	220
Companies Liquidation Trust Fund	45	45
Unclaimed Monies	152	147
Water Board Deposits	21	20
Electricity Deposits	1	1
Other Trust Accounts	282	256
Total Trust Account Liabilities	1,988	1,867

The Government trust account liabilities represent amounts held in trust for 3rd parties or refundable deposits. These amounts are deposited into the Government bank accounts. Generally separate bank accounts are not held for these trust amounts (the Maritime Participation and Investigation Fund money is however held in a separate bank account). As such the cash receipts and payments relating to these trust accounts are included in the cash balance of the Statement of Financial Position and the Statement of Cash Flows. The outstanding liability is recognised in the Statement of Financial Position.

The most significant amount outstanding is for the Custom Owners Trust Account which represents amounts invoiced for Custom Owned Land that is under dispute. These amounts will be paid to the respective Custom Owners of each parcel of land once the owner is agreed by the appropriate Courts.

Note 16: Deferred Revenue
(as at 31 December 2022)

	2022 vatu million	2021 vatu million
Deferred Revenue		
Deferred revenue from NISCOL loan for Luganville Wharf	6,112	6,688
Deferred revenue from Vanuatu Aviation Investment Project	7,114	7,114
Total deferred revenue	13,226	13,802

In 2015 the Government signed a concession agreement with the Northern Island Stevedoring Company Limited (NISCOL) for the use of the Luganville Wharf for the next 50 years. On 14/12/2017 an on-lending agreement for an amount of CNY 541.9 million was signed with NISCOL for the rebuilding of the Luganville Wharf which remains an asset of the Government. A deferred revenue liability has been created and this revenue will be recognised over the life of the concession agreement

Note 17: Financial Instruments
(as at 31 December 2022)

(a) Analysis of financial instruments

The carrying amounts of financial assets and financial liabilities by category are as follows:

	Notes	2022 vatu million	2021 vatu million
Financial Assets			
Cash and cash equivalents		18,146	21,821
Receivables	9	1,784	1,805
Advances	10	29,794	29,490
Prepayments	10	263	264
Total Financial Assets		49,987	53,380
Financial Liabilities			
Payables and Provisions	13	5,859	4,011
Employee Entitlements	14	24,567	22,926
Domestic Borrowings		10,523	8,179
Foreign Currency Borrowings		40,922	39,789
Development Fund monies held in Trust		10,691	11,932
Other Trust Account Monies	15	1,988	1,867
Total Financial Liabilities		94,551	88,704

(b) Fair value hierarchy disclosures

The fair value of an instrument is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

Quoted market values represent fair value when a financial instrument is traded in an organised and liquid market that can absorb a significant transaction without moving the price against the trader.

The valuation of the Government of Vanuatu's financial assets and liabilities are as follows:

Cash and cash equivalents

The reported value of cash and cash equivalents is its fair value due to the short-term nature of the financial assets.

Receivables

Receivables include a deduction for provision for doubtful debts so that the total amount of receivables reported is the amount expected to be collected. The reported amount is the fair value of receivables.

Advances

Advances are to Government Business Enterprises. The reported value is the amount collectable and is considered fair value.

Prepayments

The reported value of the amount paid to other parties for goods and services in advance is carried at fair value.

Payables

The reported value of payables is the fair value. These are short term payables which will be likely discharged by the Government within 3 months of the end of the financial year.

Employee Entitlements

Employee entitlements are not usually exchanged. The estimate of employee entitlements is the reported fair value.

Domestic borrowings

All domestic borrowings are through Government bonds issued by the Reserve Bank of Vanuatu at fixed interest rates. The reported amount borrowed is the fair value of domestic borrowings.

Foreign currency borrowings

Foreign currency borrowings represent loans through international development banks and organisations at concessional interest rates. The reported amount borrowed is the fair value of foreign currency borrowings.

Development fund monies held in trust

Development fund monies held in trust represent money provided by Development Partners to be used for development projects as agreed between the development partners and the Government of Vanuatu. This liability is mostly offset by funds held in the Development Fund bank account and reported as cash and cash equivalents. Any unspent funds will either be returned to the contributing development partner or reallocated to alternative projects as agreed with the contributing development partner. The reported amount is considered to be the fair value of development fund monies held in trust.

Other trust account monies

Other trust account monies are monies being held in trust for third parties such as Custom Land Owners. The reported amount is considered to be the fair value of other trust account monies.

(c) Financial instruments risk

The activities of the Government of Vanuatu expose it to a variety of financial instrument risks, including market risk, credit risk and liquidity risk. The Government seeks to minimise exposure from the risks associated with financial instruments and has a series of policies to manage these risks.

Market risk

Interest rate risk

Interest rate risk is the risk that the fair value of a financial instrument will fluctuate, or the cash flows from a financial instrument will fluctuate, due to changes in market interest rates.

The Government of Vanuatu has no interest rate risk for existing financial liabilities and assets because all borrowings and financial interest-bearing financial assets (such as advances to Government Business Enterprises) are for fixed terms and at fixed interest rates. The Government faces interest rate risk particularly for future domestic borrowings given the small market in Vanuatu.

Currency risk

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

Currency risk arises from future capital purchases and recognised liabilities which are denominated in a foreign currency. The Government makes purchases in foreign currencies and has a significant number of borrowings denominated in foreign currencies. The Government also receives money in foreign currencies for revenue items such as honorary citizenship program fees, fishing licenses, offshore company registrations and contributions from Development Partners.

The Government is exposed to currency risk arising from various currency exposures, primarily with respect to Chinese Yuan Renminbi, Japanese Yen, US Dollars, IDA Special Drawing Rights, European Currency and Australian Dollars. The Government does not hedge its exposure to exchange rate fluctuations in these currencies. To minimise foreign currency fluctuation risk, the Government may hold revenue received in foreign currency to meet expected payments to be made in the same currency.

Currency sensitivity analysis

The table below shows the exchange rates used to value financial assets and liabilities in these financial statements and the movement between the 2021 and 2022 years. The rates shown are the Reserve Bank of Vanuatu mid rates at the 31st of December showing the vatu required to purchase 1 unit of the respective foreign currency.

Main Currencies		2022	2021	Movement
Chinese Yuan Renminbi	CNY	16.97	17.60	-3.6%
Japanese Yen	JPY	0.88	0.98	-9.6%
US Dollar	USD	117.24	112.19	4.5%
Special Drawing Right	SDR	156.60	145.43	7.7%
European Currency	EUR	125.08	127.09	-1.6%
Australian Dollar	AUD	79.51	81.35	-2.3%

The sensitivity of the Government's financial assets and liabilities to an across the board 5% strengthening or weakening of the Vatu against other foreign currencies is shown below.

Sensitivity to Foreign Currency Risk (+/- 5%)		2022 vatu million	2021 vatu million
Chinese Yuan Renminbi	CNY	813	808
Japanese Yen	JPY	356	401
U.S. Dollar	USD	296	273
IDA Special Drawing Right	SDR	580	508
European Currency	EUR	-	-
Australian Dollar	AUD	-	-

Credit risk

Credit risk refers to the risk that a third party will default on its contractual obligations resulting in financial loss to the Government. The Government is exposed to credit risk from cash held at the bank, debtors and advances or loans made to other entities.

Most of the cash held by the Government of Vanuatu is deposited with the Reserve Bank of Vanuatu with smaller amounts held at the other commercial banks in Vanuatu. The Reserve Bank of Vanuatu has a very good credit rating and there is very little risk to funds held with them.

The Government has difficulty collecting outstanding debtor accounts and many receivable amounts have been outstanding for several years. The value of receivables has been adjusted through a provision for doubtful debts so that the value shown is the amount expected to be collectable.

The Government has a few advances or loans that have been mainly made to Government Business Enterprises as detailed in Note 10. Generally, there is no collateral for these loans, but they have been made to entities that the Government has an ownership interest in.

Liquidity risk

Liquidity risk is the risk that the Government will encounter difficulty raising liquid funds to meet commitments as they fall due.

The Government can raise funds to meet financial liabilities through operating cash flows, further domestic bond issues and the proceeds of maturing financial assets. The Government also has access to an overdraft facility of VUV 100 million with the Reserve Bank of Vanuatu.

In addition, the Government can make available cash for financial liabilities by implementing policies to limit expenditure and delaying or reducing the release of budget to line agencies. The Government may also increase revenue collected through implementation of revenue and tax policies where required.

Liquidity Risk Management		Carrying Value	Contractual cash flows	Less than 1 year	1-2 years	2-5 years	More than 5 years
as at 31 December 2022	Notes	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million
Financial Liabilities							
Payables and Provisions	13	5,859	5,859	5,859			
Employee Entitlements	14	24,567	24,567	3,036	516	1,799	19,216
Domestic Borrowings		10,523	10,523	3,456	1,115	2,077	3,875
Foreign Currency Borrowings		40,922	40,922	2,297	2,297	6,890	29,317
Development Fund monies held in Trust		10,691	10,691	9,087	1,604	-	-
Other Trust Account Monies	15	1,988	1,988	1,193	398	199	199
Total Financial Liabilities		94,550	94,550	24,928	5,929	10,965	52,607

Liquidity Risk Management		Carrying Value	Contractual cash flows	Less than 1 year	1-2 years	2-5 years	More than 5 years
as at 31 December 2021	Notes	vatu million	vatu million	vatu million	vatu million	vatu million	vatu million
Financial Liabilities							
Payables and Provisions	13	4,011	4,011	4,011			
Employee Entitlements	14	22,926	22,926	5,304	976	2,498	14,149
Domestic Borrowings		8,179	8,179	1,112	1,115	2,077	3,876
Foreign Currency Borrowings		39,788	39,788	3,164	3,164	9,491	23,969
Development Fund monies held in Trust		12,001	12,001	10,201	1,800	-	-
Other Trust Account Monies	15	1,867	1,867	1,120	373	187	187
Total Financial Liabilities		88,772	88,772	24,911	7,428	14,253	42,180

Note 18: Related Parties

Related party relationships are a normal feature of commerce, and the Government transacts with related parties as a matter of course. Related parties of the Government include:

- Ministers of the Government, who are key management personnel because they have authority and responsibility for planning, directing and controlling the activities of Government; directly or indirectly.
- Ministers' spouses, children and dependants who are close family members of key management personnel; and
- Private-sector entities owned or jointly controlled by Ministers, their spouses, children and dependants.

Given the breadth of Government activities these related parties transact with the government sector in the same capacity as ordinary citizens. Such transactions include the payment of taxes and user charges, and the receipt of entitlements and services (such as access to education). These transactions have not been separately disclosed in this note.

Other transactions with these related parties can include the employment of Ministers' spouses, children and dependants by a Government entity, including ministerial offices, Ministries, Departments, Government-owned enterprises and other Government agencies, receipt of grants from, or the purchase or sale of goods and services to, a Government entity by Ministers, their spouses, children and dependants, or private-sector entities they own or jointly control. These transactions have not been separately disclosed in this note, unless they have taken place within a Minister's portfolio.

Taking the above paragraphs into account, there are no related party transactions to be separately disclosed.

Note 19: Events after the Balance Date

There are no subsequent events after the balance date

OTHER STATEMENTS

As required under the Public Finance and Economic Management Act

Summary of Appropriations by Ministry
(for the year ending 31 December 2022)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
CONSTITUTIONAL AREAS OF THE GOVERNMENT									
President of the Republic		85,842,632	-	85,842,632	-	85,842,632	89,790,210	(3,947,578)	-5%
Parliament		952,812,131	292,080,002	1,244,892,133	-	1,244,892,133	1,279,248,127	(34,355,994)	-3%
Judiciary		327,434,858	-	327,434,858	-	327,434,858	331,057,716	(3,622,858)	-1%
Malvatumauri Council of Chiefs		138,754,939	-	138,754,939	-	138,754,939	125,412,628	13,342,311	10%
National Audit Office		90,683,636	-	90,683,636	-	90,683,636	69,897,110	20,786,526	23%
Office of the Ombudsman		69,770,770	-	69,770,770	-	69,770,770	71,678,263	(1,907,493)	-3%
Public Prosecutor		117,906,634	2,407,800	120,314,434	-	120,314,434	120,881,278	(566,844)	0%
Public Solicitor		86,749,808	-	86,749,808	-	86,749,808	87,548,165	(798,357)	-1%
Public Service Commission		251,335,188	-	251,335,188	-	251,335,188	250,519,510	815,678	0%
Judicial Services Commission		1,914,514	-	1,914,514	-	1,914,514	740,244	1,174,270	61%
State Law Office		217,682,450	-	217,682,450	-	217,682,450	223,291,295	(5,608,845)	-3%
Citizenship Office		47,548,891	-	47,548,891	-	47,548,891	40,092,041	7,456,850	16%
TOTAL FOR CONSTITUTIONAL AREAS OF THE GOVERNMENT		2,388,436,451	294,487,802	2,682,924,253	-	2,682,924,253	2,690,156,587	(7,232,334)	0%
Prime Ministers Ministry		931,659,257	-	931,659,257	-	931,659,257	975,436,851	(43,777,594)	-5%
Ministry of Agriculture, Livestock, Forestry, Fisheries and Biosecurity		2,178,267,777	24,955,280	2,203,223,057	-	2,203,223,057	2,113,852,455	89,370,602	4%
Ministry of Tourism, Trade, Commerce and Ni-Vanuatu Business		1,163,644,632	44,000,000	1,207,644,632	-	1,207,644,632	910,886,448	296,758,184	25%
Ministry of Education & Training		9,433,837,433	-	9,433,837,433	-	9,433,837,433	9,420,295,538	13,541,895	0%
Ministry of Finance & Economic Management		9,661,866,662	2,537,654,078	12,199,520,740	-	12,199,520,740	10,999,588,413	1,199,932,327	10%
Ministry of Foreign Affairs, International Cooperation and External Trade		725,697,873	-	725,697,873	-	725,697,873	666,160,866	59,537,007	8%
Ministry of Health		3,483,261,323	469,214,001	3,952,475,324	(1)	3,952,475,323	3,584,995,403	367,479,920	9%
Ministry of Infrastructure and Public Utilities		3,302,571,207	35,012,615	3,337,583,822	-	3,337,583,822	2,010,183,221	1,327,400,601	40%
Ministry of Internal Affairs		3,245,812,379	160,000,000	3,405,812,379	-	3,405,812,379	3,386,237,187	19,575,192	1%
Ministry of Justice and Social Welfare		732,555,374	-	732,555,374	-	732,555,374	616,426,492	116,128,882	16%
Ministry of Lands, Mines & Water Resources		996,871,130	42,000,000	1,038,871,130	-	1,038,871,130	1,038,690,592	180,538	0%
Ministry of Youth Development and Sports		336,928,969	-	336,928,969	-	336,928,969	327,624,976	9,303,993	3%
Ministry of Climate Change Adaptation, Geohazards, Meteorology and Energy		709,746,909	-	709,746,909	-	709,746,909	696,740,061	13,006,848	2%
TOTAL FOR NON-CONSTITUTIONAL AREAS OF THE GOVERNMENT		36,902,720,925	3,312,835,974	40,215,556,899	(1)	40,215,556,898	36,747,118,503	3,468,438,395	9%
TOTAL FOR GOVERNMENT OF VANUATU		39,291,157,376	3,607,323,776	42,898,481,152	(1)	42,898,481,151	39,437,275,090	3,461,206,061	8%

Statement of Appropriations
(for the year ending 31 December 2022)

	Activity	Appropriations			Budget Transfers vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percentage %
		Original vatu	Supplementary vatu	Final vatu					
CONSTITUTIONAL AREAS OF THE GOVERNMENT									
President of the Republic									
Management of the State House and President	CAAA	85,842,632	-	85,842,632	-	85,842,632	89,790,210	(3,947,578)	-5%
Total for President of the Republic		85,842,632	-	85,842,632	-	85,842,632	89,790,210	(3,947,578)	-5%
Parliament									
Procedure and Legislative Affairs	CBAA	562,762,465	292,080,002	854,842,467	-	854,842,467	899,493,552	(44,651,085)	-5%
Security and Protocol	CBAB	5,961,494	-	5,961,494	-	5,961,494	6,635,912	(674,418)	-11%
Inter-Parliamentary Relations	CBAC	9,925,007	-	9,925,007	-	9,925,007	9,925,007	-	0%
Office of the Leader of the Opposition	CBAD	48,230,223	-	48,230,223	(1,000,000)	47,230,223	34,807,063	12,423,160	26%
Committee on the Public Accounts	CBBC	16,897,722	-	16,897,722	-	16,897,722	16,048,669	849,053	5%
Committee on Institutions	CBBB	19,894,185	-	19,894,185	-	19,894,185	18,661,275	1,232,910	6%
Committee on Economic Policy	CBBE	16,609,355	-	16,609,355	-	16,609,355	14,997,294	1,612,061	10%
Committee on Social Policy	CBBF	16,692,364	-	16,692,364	-	16,692,364	11,907,377	4,784,987	29%
Parliamentary Reporting	CBCA	25,072,957	-	25,072,957	-	25,072,957	25,217,434	(144,477)	-1%
Library and Archives	CBCB	14,696,398	-	14,696,398	-	14,696,398	13,957,550	738,848	5%
Financial Management	CBDA	14,738,775	-	14,738,775	1,000,000	15,738,775	16,247,684	(508,909)	-3%
Personnel Administration and Maintenance	CBDB	45,331,186	-	45,331,186	-	45,331,186	56,533,850	(11,202,664)	-25%
Members Allocation	CBDC	156,000,000	-	156,000,000	-	156,000,000	154,815,460	1,184,540	1%
Total for Parliament		952,812,131	292,080,002	1,244,892,133	-	1,244,892,133	1,279,248,127	(34,355,994)	-3%
Judiciary									
Corporate Services	CIAA	36,123,347	-	36,123,347	(1,955,500)	34,167,847	29,746,324	4,421,523	13%
Court of Appeal	CIAB	31,069,044	-	31,069,044	-	31,069,044	31,069,044	-	0%
Supreme Court	CIAC	142,805,480	-	142,805,480	3,770,000	146,575,480	150,059,638	(3,484,158)	-2%
Magistrate Courts	CIAD	60,874,568	-	60,874,568	(896,846)	59,977,722	63,759,152	(3,781,430)	-6%
Island Courts	CIAE	26,553,805	-	26,553,805	(177,654)	26,376,151	27,155,076	(778,925)	-3%
Land Courts	CIAF	4,241,792	-	4,241,792	-	4,241,792	4,146,502	95,290	2%
Enforcement	CIAG	19,304,642	-	19,304,642	(700,000)	18,604,642	18,396,953	207,689	1%
Judicial Development & Training	CIAH	4,987,880	-	4,987,880	(40,000)	4,947,880	4,975,649	(27,769)	-1%
Case Management	CIAI	1,474,300	-	1,474,300	-	1,474,300	1,749,378	(275,078)	-19%
Total for Judiciary		327,434,858	-	327,434,858	-	327,434,858	331,057,716	(3,622,858)	-1%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
Malvatumauri Council of Chiefs									
Administration of the National Council of Chiefs	CDA1	89,522,066	-	89,522,066	-	89,522,066	83,857,686	5,664,380	6%
Funds for 14 Islands Council of Chiefs	CDA2	5,387,000	-	5,387,000	-	5,387,000	-	5,387,000	100%
Malvatumauri Members Allowance	CDA3	43,845,873	-	43,845,873	-	43,845,873	41,554,942	2,290,931	5%
Total for Malvatumauri Council of Chiefs		138,754,939	-	138,754,939	-	138,754,939	125,412,628	13,342,311	10%
National Audit Office									
Planning, Policy & Standards	CEAA	15,971,220	-	15,971,220	-	15,971,220	11,848,154	4,123,066	26%
Audit Operations	CEAB	59,317,533	-	59,317,533	-	59,317,533	44,511,971	14,805,562	25%
Corporate Services	CEAC	15,394,883	-	15,394,883	-	15,394,883	13,536,985	1,857,898	12%
Total for National Audit Office		90,683,636	-	90,683,636	-	90,683,636	69,897,110	20,786,526	23%
Office of the Ombudsman									
Planning, Management and Investigations	CCAA	69,770,770	-	69,770,770	-	69,770,770	71,678,263	(1,907,493)	-3%
Total for Office of the Ombudsman		69,770,770	-	69,770,770	-	69,770,770	71,678,263	(1,907,493)	-3%
Public Prosecutor									
Planning and Management	CGAA	23,166,424	2,407,800	25,574,224	(558,500)	25,015,724	25,206,790	(191,066)	-1%
Institute Criminal Proceedings	CGAB	50,341,262	-	50,341,262	(2,638,092)	47,703,170	48,300,188	(597,018)	-1%
Corporate Services	CGAC	24,519,878	-	24,519,878	7,544,892	32,064,770	32,356,393	(291,623)	-1%
Anti-Corruption	CGAD	15,796,010	-	15,796,010	(4,348,300)	11,447,710	11,252,880	194,830	2%
Victim Support	CGAE	4,083,060	-	4,083,060	-	4,083,060	3,765,027	318,033	8%
Total for Public Prosecutor		117,906,634	2,407,800	120,314,434	-	120,314,434	120,881,278	(566,844)	0%
Public Solicitor									
Representation	CHAA	86,749,808	-	86,749,808	-	86,749,808	87,548,165	(798,357)	-1%
Total for Public Solicitor		86,749,808	-	86,749,808	-	86,749,808	87,548,165	(798,357)	-1%
Public Service Commission									
Corporate Services Unit	CJAA	70,664,204	-	70,664,204	2,313,227	72,977,431	68,233,827	4,743,604	7%
Human Resource Management	CJAB	40,264,304	-	40,264,304	(1,162,503)	39,101,801	39,519,249	(417,448)	-1%
Performance Improvement Unit	CJAC	26,469,460	-	26,469,460	(269,775)	26,199,685	29,415,770	(3,216,085)	-12%
Human Resource Development	CJAD	32,495,664	-	32,495,664	(1,500,000)	30,995,664	31,943,162	(947,498)	-3%
Government Employee entitlements	CJAF	54,282,692	-	54,282,692	(1,810,000)	52,472,692	51,376,675	1,096,017	2%
Public Service Legal Unit	CJAE	27,158,864	-	27,158,864	2,429,051	29,587,915	30,030,827	(442,912)	-1%
Total for Public Service Commission		251,335,188	-	251,335,188	-	251,335,188	250,519,510	815,678	0%
Judicial Services Commission									
Decision Making	CLAA	891,684	-	891,684	-	891,684	382,000	509,684	57%
Administrative Support Services	CLAB	1,022,830	-	1,022,830	-	1,022,830	358,244	664,586	65%
Total for Judicial Services Commission		1,914,514	-	1,914,514	-	1,914,514	740,244	1,174,270	61%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
State Law Office									
Provision of Legal Advice and Services	CFAA	217,682,450	-	217,682,450	-	217,682,450	223,291,295	(5,608,845)	-3%
Total for State Law Office		217,682,450	-	217,682,450	-	217,682,450	223,291,295	(5,608,845)	-3%
Citizenship Office									
Citizenship Commission	CKAA	47,548,891	-	47,548,891	-	47,548,891	40,092,041	7,456,850	16%
Total for Citizenship Office		47,548,891	-	47,548,891	-	47,548,891	40,092,041	7,456,850	16%
TOTAL FOR CONSTITUTIONAL AREAS OF THE GOVERNMENT		2,388,436,451	294,487,802	2,682,924,253	-	2,682,924,253	2,690,156,587	(7,232,334)	0%
PRIME MINISTERS MINISTRY									
Strategic Management	MCBA	256,611,005	-	256,611,005	-	256,611,005	300,869,508	(44,258,503)	-17%
Administration & Coordination of Government Programmes	MPAA	139,166,971	-	139,166,971	-	139,166,971	145,640,409	(6,473,438)	-5%
Corporate Services	MPBA	164,759,303	-	164,759,303	-	164,759,303	154,585,877	10,173,426	6%
Language Services	MPCA	44,301,816	-	44,301,816	-	44,301,816	43,927,590	374,226	1%
Government Remuneration Tribunal	MPDE	21,282,904	-	21,282,904	-	21,282,904	21,598,107	(315,203)	-1%
Information, Communication and Technology Policy and Administration	MPEA	305,537,258	-	305,537,258	-	305,537,258	308,815,360	(3,278,102)	-1%
TOTAL FOR PRIME MINISTERS MINISTRY		931,659,257	-	931,659,257	-	931,659,257	975,436,851	(43,777,594)	-5%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percentage %
		Original vatu	Supplementary vatu	Final vatu					
MINISTRY OF AGRICULTURE, LIVESTOCK, FORESTRY, FISHERIES AND BIOSECURITY									
Portfolio Management	MAAA	628,380,324	-	628,380,324	(83,220,707)	545,159,617	553,058,229	(7,898,612)	-1%
Ministry Executive Management And Corporate Services	MABA	-	-	-	-	-	(25,386,160)	25,386,160	0%
Corporate Services	MABB	291,612,021	-	291,612,021	(79,329,280)	212,282,741	196,232,810	16,049,931	8%
Commodities	MACA	132,048,783	-	132,048,783	(29,922,905)	102,125,878	99,678,336	2,447,542	2%
Improve food security SHEFA	MACE	22,000,006	-	22,000,006	(1,100,000)	20,900,006	19,117,424	1,782,582	9%
Policy and Administration	MACD	4,350,000	-	4,350,000	-	4,350,000	11,407,519	(7,057,519)	-162%
Biosecurity Administration	MADA	37,100,000	-	37,100,000	4,728,473	41,828,473	31,718,491	10,109,982	24%
Veterinary	MADB	-	-	-	-	-	53,018	(53,018)	0%
Increase production of commodity crops PENAMA	MABC	5,934,565	-	5,934,565	1,000,000	6,934,565	6,773,957	160,608	2%
Increase production of commodity crops SANMA	MABD	180,621,626	-	180,621,626	(19,209,309)	161,412,317	159,519,716	1,892,601	1%
Increase production of commodity crops SHEFA	MABE	94,684,754	-	94,684,754	(8,567,343)	86,117,411	85,792,895	324,516	0%
Increase production of commodity crops TAFEA	MABF	12,974,565	-	12,974,565	-	12,974,565	12,449,864	524,701	4%
Increase production of commodity crops TORBA	MABG	5,954,565	-	5,954,565	500,000	6,454,565	6,341,540	113,025	2%
Improve food security MALAMPA	MACB	200,000	-	200,000	-	200,000	118,433	81,567	41%
Improve food security PENAMA	MACC	300,000	-	300,000	-	300,000	140,215	159,785	53%
Improve food security TAFEA	MACF	385,550	-	385,550	-	385,550	283,050	102,500	27%
Improve food security TORBA	MACG	300,000	-	300,000	-	300,000	233,899	66,101	22%
Improve quality and safety of agriculture products SHEFA	MADE	1,800,000	-	1,800,000	2,000,000	3,800,000	3,597,463	202,537	5%
Improve quality and safety of agriculture products TAFEA	MADF	-	-	-	-	-	(20,929)	20,929	0%
Sustainable management of natural resources	MAEA	56,607,002	-	56,607,002	-	56,607,002	53,919,642	2,687,360	5%
Sustainable management of natural resources PENAMA	MAEC	831,000	-	831,000	-	831,000	608,550	222,450	27%
Sustainable management of natural resources SANMA	MAED	4,381,000	-	4,381,000	2,500,000	6,881,000	6,463,481	417,519	6%
Sustainable management of natural resources SHEFA	MAEE	6,098,590	-	6,098,590	2,500,000	8,598,590	7,891,419	707,171	8%
Sustainable management of natural resources TORBA	MAEG	831,000	-	831,000	-	831,000	752,591	78,409	9%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
MINISTRY OF AGRICULTURE, LIVESTOCK, FORESTRY, FISHERIES AND BIOSECURITY (continued)									
Resilience tow ards Climate Change and Natural Resources MALAMPA	MAFB	1,175,667	-	1,175,667	-	1,175,667	1,175,667	-	0%
Resilience tow ards Climate Change and Natural Resources PENAMA	MAFC	1,175,667	-	1,175,667	-	1,175,667	992,336	183,331	16%
Resilience tow ards Climate Change and Natural Resources SANMA	MAFD	1,175,667	-	1,175,667	-	1,175,667	1,061,126	114,541	10%
Resilience tow ards Climate Change and Natural Resources SHEFA	MAFE	6,557,835	-	6,557,835	-	6,557,835	6,479,255	78,580	1%
Resilience tow ards Climate Change and Natural Resources TAFEA	MAFF	1,175,667	-	1,175,667	-	1,175,667	1,170,667	5,000	0%
Resilience tow ards Climate Change and Natural Resources TORBA	MAFG	1,175,665	-	1,175,665	-	1,175,665	1,175,665	-	0%
Community Capacity Building w ith focus on gender and youth MALAMPA	MAGB	520,000	-	520,000	-	520,000	488,000	32,000	6%
Community Capacity Building w ith focus on gender and youth PENAMA	MAGC	520,000	-	520,000	-	520,000	448,000	72,000	14%
Community Capacity Building w ith focus on gender and youth SANMA	MAGD	520,000	-	520,000	-	520,000	468,000	52,000	10%
Community Capacity Building w ith focus on gender and youth SHEFA	MAGE	12,100,000	-	12,100,000	-	12,100,000	9,424,193	2,675,807	22%
Community Capacity Building w ith focus on gender and youth TAFEA	MAGF	520,000	-	520,000	-	520,000	468,000	52,000	10%
Community Capacity Building w ith focus on gender and youth TORBA	MAGG	520,000	-	520,000	-	520,000	441,000	79,000	15%
Support institution capacity, policy, communication,admin MALAMPA	MAHB	3,145,000	-	3,145,000	-	3,145,000	3,093,845	51,155	2%
Support institution capacity, policy, communication,admin PENAMA	MAHC	1,150,000	-	1,150,000	-	1,150,000	1,109,155	40,845	4%
Support institution capacity, policy, communication,admin SANMA	MAHD	43,740,681	-	43,740,681	(1,018,323)	42,722,358	41,402,910	1,319,448	3%
Support institution capacity, policy, communication,admin SHEFA	MAHE	285,437,694	-	285,437,694	68,700,685	354,138,379	332,464,133	21,674,246	6%
Support institution capacity, policy, communication,admin TAFEA	MAHF	4,090,000	-	4,090,000	-	4,090,000	3,886,507	203,493	5%
Support institution capacity, policy, communication,admin TORBA	MAHG	3,075,000	-	3,075,000	-	3,075,000	2,969,690	105,310	3%

Statement of Appropriations (continued)

		Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %	
	Activity	Original vatu	Supple- mentary vatu	Final vatu						
MINISTRY OF AGRICULTURE, LIVESTOCK, FORESTRY, FISHERIES AND BIOSECURITY (continued)										
	Advancing Research and Development	MAIA	-	-	-	-	(242,948)	242,948	0%	
	Advancing Research and Development MALAMPA	MAIB	-	-	-	-	(187,825)	187,825	0%	
	Advancing Research and Development SHEFA	MAIE	21,343,000	-	21,343,000	2,000,000	23,343,000	16,932,338	27%	
	Advancing Research and Development TORBA	MAIG	2,100,000	-	2,100,000	-	2,100,000	1,717,441	18%	
	Biosecurity Operations North	MADD	1,950,000	-	1,950,000	-	1,950,000	1,690,914	13%	
	Plant Protection	MADG	-	-	-	-	(191,416)	191,416	0%	
	Sustainable management of natural resources MALAMPA	MAEB	845,000	-	845,000	-	845,000	764,335	10%	
	Fisheries Administration	MAEF	831,000	-	831,000	-	831,000	608,389	27%	
	Fisheries Research and Acquaculture	MAEH	-	-	-	-	282,559	(282,559)	0%	
	Fisheries Policy and Management	MAEQ	37,700,000	-	37,700,000	-	37,700,000	37,700,000	0%	
	Forestry	MAFA	-	-	-	-	668,740	(668,740)	0%	
	Livestock Production	MAHA	258,078,883	24,955,280	283,034,163	138,438,709	421,472,872	414,439,148	2%	
TOTAL FOR MINISTRY OF AGRICULTURE, LIVESTOCK, FORESTRY, FISHERIES AND BIOSECURITY			2,178,267,777	24,955,280	2,203,223,057	-	2,203,223,057	2,113,852,455	89,370,602	4%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percentage %
		Original vatu	Supplementary vatu	Final vatu					
MINISTRY OF TOURISM, TRADE, COMMERCE AND NI-VANUATU BUSINESS									
Portfolio Coordination	MTAA	78,790,410	-	78,790,410	-	78,790,410	82,247,533	(3,457,123)	-4%
Executive Management	MTBA	70,340,047	-	70,340,047	(2,850,549)	67,489,498	65,858,130	1,631,368	2%
Trade Development Division	MTBD	-	44,000,000	44,000,000	2,247,585	46,247,585	44,213,479	2,034,106	4%
CSU Policy and Planning	MTBE	16,668,277	-	16,668,277	(4,295,546)	12,372,731	12,048,202	324,529	3%
CSU Human Resources Management	MTBF	5,980,816	-	5,980,816	(786,315)	5,194,501	5,207,159	(12,658)	0%
CSU Finance, Procurement and Assets Management	MTBG	13,016,070	-	13,016,070	7,786,315	20,802,385	20,730,747	71,638	0%
Industry and Commerce	MTCA	19,133,910	-	19,133,910	-	19,133,910	7,088,887	12,045,023	63%
Trade Governance	MTCB	2,715,976	-	2,715,976	-	2,715,976	1,679,338	1,036,638	38%
Trade Policy	MTCC	1,002,000	-	1,002,000	-	1,002,000	884,728	117,272	12%
Trade Cooperation	MTCD	245,000,000	-	245,000,000	(106,000,000)	139,000,000	66,481,639	72,518,361	52%
Analytical Unit	MTCE	11,000,000	-	11,000,000	-	11,000,000	1,835,900	9,164,100	83%
Primary Industries Development	MTDA	26,077,440	-	26,077,440	390,286	26,467,726	26,134,006	333,720	1%
Provincial Industrial Extension Services	MTDB	24,347,440	-	24,347,440	(8,267,466)	16,079,974	17,093,056	(1,013,082)	-6%
Manufacturing Industry	MTDC	30,407,920	-	30,407,920	3,742,057	34,149,977	33,444,469	705,508	2%
Policy, Planning, Administration & Financial Comprising	MTDE	37,240,749	-	37,240,749	7,261,586	44,502,335	44,935,494	(433,159)	-1%
Marketing & Promotion Section	MTDF	19,765,120	-	19,765,120	(3,126,463)	16,638,657	16,696,294	(57,637)	0%
Investment Promotion	MTEA	-	-	-	106,000,000	106,000,000	(4,681,190)	110,681,190	104%
DOT Admin Support Services	MTFA	6,448,176	-	6,448,176	-	6,448,176	6,709,076	(260,900)	-4%
Tourism Development	MTFB	109,871,892	-	109,871,892	(1,000,000)	108,871,892	94,405,473	14,466,419	13%
Tourism Standards	MTFC	6,150,652	-	6,150,652	-	6,150,652	6,175,994	(25,342)	0%
Provincial Tourism Development	MTFD	38,985,029	-	38,985,029	(2,000,000)	36,985,029	35,762,926	1,222,103	3%
DOT Policy and Planning	MTFE	51,157,463	-	51,157,463	3,000,000	54,157,463	61,964,280	(7,806,817)	-14%
Ni-Vanuatu Business Development	MTGA	-	-	-	-	-	15,000	(15,000)	0%
Admin Support Services	MTHA	60,653,236	-	60,653,236	(4,143,416)	56,509,820	57,858,309	(1,348,489)	-2%
Standards and Certification	MTHB	11,070,380	-	11,070,380	4,143,416	15,213,796	12,704,104	2,509,692	16%
Laboratory Testing	MTHC	45,199,784	-	45,199,784	-	45,199,784	14,786,459	30,413,325	67%
Product Development	MTHE	18,693,600	-	18,693,600	-	18,693,600	18,610,093	83,507	0%
Admin Support Services	MTIA	14,485,221	-	14,485,221	-	14,485,221	13,720,775	764,446	5%
Patent, Trademark, Copyright Registration Services	MTIB	11,144,728	-	11,144,728	-	11,144,728	10,604,034	540,694	5%
Policy and Legislative Development and Implementation	MTIC	3,490,944	-	3,490,944	-	3,490,944	3,477,088	13,856	0%
Admin Support Services	MTJA	20,206,406	-	20,206,406	(1,437,435)	18,768,971	16,783,564	1,985,407	11%
Policy, Regulatory Environment and Partnership	MTJB	30,238,992	-	30,238,992	437,435	30,676,427	28,889,451	1,786,976	6%
Cooperative Institutional Strengthening and Access to Finance and Credit	MTJC	72,000,000	-	72,000,000	-	72,000,000	25,755,590	46,244,410	64%
Cooperative Market Information System and Quality Infrastructure	MTJD	10,610,872	-	10,610,872	(1,101,490)	9,509,382	7,586,707	1,922,675	20%
Training Services	MTJE	23,571,042	-	23,571,042	-	23,571,042	24,410,214	(839,172)	-4%
Provincial Extension Services	MTJF	28,180,040	-	28,180,040	-	28,180,040	28,769,440	(589,400)	-2%
TOTAL FOR MINISTRY OF TOURISM, TRADE, COMMERCE AND NI-VANUATU BUSINESS		1,163,644,632	44,000,000	1,207,644,632	-	1,207,644,632	910,886,448	296,758,184	25%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
MINISTRY OF EDUCATION & TRAINING									
Secondary Schools	MECB	-	-	-	-	-	8,907,591	(8,907,591)	0%
Primary Schools	MECC	-	-	-	-	-	26,362	(26,362)	0%
Training & Scholarship Coordination	MEDB	-	-	-	-	-	-	-	0%
Portfolio Management	MEGA	81,016,480	-	81,016,480	3,000,000	84,016,480	80,845,625	3,170,855	4%
Executive Management	MEHA	201,666,306	-	201,666,306	(4,433,383)	197,232,923	190,570,763	6,662,160	3%
Internal & Quality Controls	MEHB	16,271,774	-	16,271,774	(1,611,000)	14,660,774	13,861,483	799,291	5%
Corporate & Planning Services	MEIA	233,951,870	-	233,951,870	(2,238,785)	231,713,085	217,871,605	13,841,480	6%
Information & Communication Services	MEIB	14,761,820	-	14,761,820	(5,721,504)	9,040,316	8,361,804	678,512	8%
Maintenance & Utilities	MEIC	202,937,697	-	202,937,697	358,947,575	561,885,272	516,443,533	45,441,739	8%
Provincial Education Offices & Education Authorities	MEID	200,946,742	-	200,946,742	(34,128,101)	166,818,641	135,017,228	31,801,413	19%
School Advisory & Improvement	MEJA	107,061,107	-	107,061,107	(55,808,447)	51,252,660	43,485,797	7,766,863	15%
Curriculum & Assessment	MEJB	112,798,354	-	112,798,354	(3,788,826)	109,009,528	104,993,338	4,016,190	4%
Grants	MEJC	1,734,549,107	-	1,734,549,107	-	1,734,549,107	1,704,996,154	29,552,953	2%
Teachers	MEJD	5,503,097,125	-	5,503,097,125	(254,217,529)	5,248,879,596	5,292,143,834	(43,264,238)	-1%
Vanuatu Government Scholarship Fund	MEJE	838,369,211	-	838,369,211	-	838,369,211	885,078,613	(46,709,402)	-6%
Tertiary Education	MEJF	186,409,840	-	186,409,840	-	186,409,840	217,691,808	(31,281,968)	-17%
TOTAL FOR MINISTRY OF EDUCATION & TRAINING		9,433,837,433	-	9,433,837,433	-	9,433,837,433	9,420,295,538	13,541,895	0%
MINISTRY OF FINANCE & ECONOMIC MANAGEMENT									
Portfolio Management	MFAA	90,587,966	-	90,587,966	-	90,587,966	87,528,867	3,059,099	3%
Ministry Executive & Internal Audit	MFBA	132,554,507	-	132,554,507	(7,662,458)	124,892,049	115,119,859	9,772,190	8%
Corporate Services	MFBB	581,819,262	-	581,819,262	4,386,821	586,206,083	287,112,103	299,093,980	51%
Information Services	MFBC	137,235,029	-	137,235,029	(10,059,053)	127,175,976	129,102,667	(1,926,691)	-2%
Economic Policy Development	MFCA	64,634,258	-	64,634,258	(6,000,000)	58,634,258	57,573,531	1,060,727	2%
Government Financial Services	MFCC	337,245,913	-	337,245,913	(23,000,000)	314,245,913	307,760,934	6,484,979	2%
National Statistical Collection, Analysis & Reporting	MFDA	22,084,256	-	22,084,256	(1,000,000)	21,084,256	21,647,548	(563,292)	-3%
Provincial Statistics Offices	MFDB	210,067,553	-	210,067,553	-	210,067,553	195,370,495	14,697,058	7%
Public Debt Provisions	MFEA	4,873,806,284	-	4,873,806,284	(17,702,546)	4,856,103,738	4,678,234,400	177,869,338	4%
Central Payments	MFEC	1,338,000,000	219,999,999	1,557,999,999	63,502,547	1,621,502,546	1,568,493,794	53,008,752	3%
Investigation and Legal	MFGB	23,175,035	-	23,175,035	1,117,790	24,292,825	27,960,019	(3,667,194)	-15%
Administration Support	MFZE	-	11,153,977	11,153,977	(1)	11,153,976	997,081	10,156,895	91%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
MINISTRY OF FINANCE & ECONOMIC MANAGEMENT (continued)									
Former Leaders Payment	MFED	20,000,000	-	20,000,000	-	20,000,000	97,832,614	(77,832,614)	-389%
Customs and Excise Collections	MFFA	131,681,143	-	131,681,143	(4,974,887)	126,706,256	131,516,932	(4,810,676)	-4%
VAT Collections	MFFB	128,819,127	-	128,819,127	(476,845)	128,342,282	426,995,564	(298,653,282)	-233%
Rates and Taxes Collection	MFFC	120,661,719	-	120,661,719	(9,968,321)	110,693,398	90,111,985	20,581,413	19%
Border Control	MFGA	101,993,214	-	101,993,214	11,836,953	113,830,167	119,427,819	(5,597,652)	-5%
Vanuatu Tourism Office (VTO)	MFIA	325,124,942	15,000,000	340,124,942	-	340,124,942	340,124,942	-	0%
Vanuatu Agricultural Research and Training Centre (VARTC)	MFIB	70,032,584	4,129,172	74,161,756	-	74,161,756	74,161,756	-	0%
Vanuatu Broadcasting and Television Corporation	MFIC	95,193,317	-	95,193,317	-	95,193,317	95,193,316	1	0%
Vanuatu Cultural Centre (VCC)	MFID	43,402,152	-	43,402,152	-	43,402,152	43,402,302	(150)	0%
Chamber of Commerce and Industry (CCI)	MFIE	31,918,961	15,000,000	46,918,961	-	46,918,961	46,918,961	-	0%
Grant to SPBEA	MFIF	141,003,971	-	141,003,971	-	141,003,971	-	141,003,971	100%
Vanuatu Maritime Administration (VMA)	MFIG	15,000,000	-	15,000,000	-	15,000,000	7,293,444	7,706,556	51%
Vanuatu Maritime College	MFIH	50,174,434	-	50,174,434	-	50,174,434	50,174,428	6	0%
Utility Regulatory Authority	MFIJ	67,226,099	-	67,226,099	-	67,226,099	62,226,099	5,000,000	7%
Vanuatu Agricultural College	MFJU	86,325,933	-	86,325,933	-	86,325,933	86,325,933	-	0%
Grant to VIPA	MFIL	54,115,761	-	54,115,761	-	54,115,761	54,115,761	-	0%
Grant to Vanuatu National Archives	MFIN	19,983,242	-	19,983,242	-	19,983,242	19,983,242	-	0%
Government Contributions to International Organisation	MFJA	48,000,000	-	48,000,000	-	48,000,000	52,774,227	(4,774,227)	-10%
Response	MFKB	300,000,000	172,524,250	472,524,250	-	472,524,250	419,728,028	52,796,222	11%
Employment Stabilization	MFZA	-	701,350,616	701,350,616	(267,753,772)	433,596,844	286,493,632	147,103,212	34%
Small Medium Business Support	MFZB	-	927,719,845	927,719,845	267,753,772	1,195,473,617	772,893,882	422,579,735	35%
Subsidy	MFZC	-	470,776,219	470,776,219	-	470,776,219	244,992,248	225,783,971	48%
TOTAL FOR MINISTRY OF FINANCE & ECONOMIC MANAGEMENT		9,661,866,662	2,537,654,078	12,199,520,740	-	12,199,520,740	10,999,588,413	1,199,932,327	10%
MINISTRY OF FOREIGN AFFAIRS, INTERNATIONAL COOPERATION AND EXTERNAL TRADE									
Portfolio Coordination	MOAA	114,592,097	-	114,592,097	(3,000,000)	111,592,097	107,884,358	3,707,739	3%
Operations of the Department of Foreign Affairs	MOBA	574,290,879	-	574,290,879	3,000,000	577,290,879	517,495,523	59,795,356	10%
Treaties & Conventions (New)	MOBF	-	-	-	-	-	3,722,259	(3,722,259)	0%
External Trade Negotiation	MOGA	13,739,832	-	13,739,832	1,500,000	15,239,832	16,081,585	(841,753)	-6%
External Trade Policy and Administration	MOGB	5,128,225	-	5,128,225	(2,000,000)	3,128,225	3,467,987	(339,762)	-11%
External Trade Opportunities	MOGC	15,946,840	-	15,946,840	-	15,946,840	15,532,026	414,814	3%
External Trade Agreement Implementation	MOGD	2,000,000	-	2,000,000	500,000	2,500,000	1,977,128	522,872	21%
TOTAL FOR MINISTRY OF FOREIGN AFFAIRS, INTERNATIONAL COOPERATION AND EXTERNAL TRADE		725,697,873	-	725,697,873	-	725,697,873	666,160,866	59,537,007	8%
MINISTRY OF HEALTH									
Portfolio Management	MHAA	70,692,263	-	70,692,263	(218,360)	70,473,903	65,908,871	4,565,032	6%
Ministry Executive	MHBA	21,814,129	-	21,814,129	1,338,260	23,152,389	19,948,587	3,203,802	14%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
MINISTRY OF HEALTH (continued)									
Corporate Services	MHBB	482,707,331	-	482,707,331	(45,937,908)	436,769,423	433,879,959	2,889,464	1%
Health Sector Human Resource Development	MHBC	175,117,219	-	175,117,219	(919,900)	174,197,319	176,791,261	(2,593,942)	-1%
Hospital Services	MHCA	1,705,354,756	450,000,000	2,155,354,756	50,671,203	2,206,025,959	1,786,560,710	419,465,249	19%
Community Health Services	MHCB	635,684,845	-	635,684,845	10,127,377	645,812,222	674,297,541	(28,485,319)	-4%
Public Health Services	MHCC	105,791,858	-	105,791,858	-	105,791,858	114,232,225	(8,440,367)	-8%
Medical Supplies Stock	MHCD	286,098,922	-	286,098,922	(15,060,672)	271,038,250	294,839,586	(23,801,336)	-9%
Response	MHKB	-	19,214,001	19,214,001	(1)	19,214,000	18,536,663	677,337	4%
TOTAL FOR MINISTRY OF HEALTH		3,483,261,323	469,214,001	3,952,475,324	(1)	3,952,475,323	3,584,995,403	367,479,920	9%
MINISTRY OF INFRASTRUCTURE AND PUBLIC UTILITIES									
Portfolio Coordination	MUAA	85,719,030	-	85,719,030	2,379,872	88,098,902	87,446,074	652,828	1%
Director General and Corporate Services	MUBA	106,211,422	-	106,211,422	15,180,133	121,391,555	121,269,363	122,192	0%
Civil Aviation Management and Administration Support	MUCA	148,866,666	-	148,866,666	(17,560,005)	131,306,661	110,906,519	20,400,142	16%
Weather Forecasting, Monitoring and Research	MUDA	-	-	-	-	-	-	-	0%
Ports Administration	MUEA	286,897,668	-	286,897,668	-	286,897,668	309,976,426	(23,078,758)	-8%
Development and Maintenance of Government Infrastructure	MUFA	-	-	-	-	-	103,403,616	(103,403,616)	0%
Airport Maintenance	MUFB	605,000,000	-	605,000,000	-	605,000,000	92,359,634	512,640,366	85%
Government Contributions to Projects	MUFC	1,448,716,358	-	1,448,716,358	954,141	1,449,670,499	575,835,726	873,834,773	60%
Urban Roads Developments and Maintenance	MUFD	95,559,570	-	95,559,570	(4,957,920)	90,601,650	85,739,671	4,861,979	5%
Policy & Administration	MUFE	439,534,931	35,012,615	474,547,546	-	474,547,546	437,292,748	37,254,798	8%
Building	MUFF	24,000,000	-	24,000,000	1,957,920	25,957,920	24,699,993	1,257,927	5%
Fleet Management	MUFG	50,065,562	-	50,065,562	2,045,859	52,111,421	49,253,451	2,857,970	5%
Roadworthy Unit	MUFH	12,000,000	-	12,000,000	-	12,000,000	12,000,000	-	0%
TOTAL FOR MINISTRY OF INFRASTRUCTURE AND PUBLIC UTILITIES		3,302,571,207	35,012,615	3,337,583,822	-	3,337,583,822	2,010,183,221	1,327,400,601	40%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
MINISTRY OF INTERNAL AFFAIRS									
Portfolio Management	MIAA	90,691,608	-	90,691,608	14,957,997	105,649,605	103,602,728	2,046,877	2%
Corporate Services	MIAB	90,505,142	-	90,505,142	17,100,000	107,605,142	109,806,675	(2,201,533)	-2%
Independence Celebration	MIAD	18,636,500	-	18,636,500	-	18,636,500	19,748,503	(1,112,003)	-6%
Crime Prevention	MIAE	1,000,000	-	1,000,000	-	1,000,000	979,243	20,757	2%
Urban Planning and Development	MIBA	22,761,528	-	22,761,528	(3,125,000)	19,636,528	18,923,276	713,252	4%
Foreshore Development	MIBB	16,146,252	-	16,146,252	(2,300,000)	13,846,252	13,143,912	702,340	5%
Grants to Municipalities	MIBC	121,429,384	-	121,429,384	229,000	121,658,384	117,351,036	4,307,348	4%
Grants to Provinces	MICA	-	-	-	-	-	68,940,645	(68,940,645)	0%
Grants to Municipalities	MICB	-	-	-	-	-	(233,903)	233,903	0%
Administration of Regional Services	MICC	125,890,318	-	125,890,318	(35,063,109)	90,827,209	66,525,270	24,301,939	27%
Provincial Council	MICF	86,339,747	-	86,339,747	5,563,378	91,903,125	77,731,031	14,172,094	15%
Area Council	MICG	115,873,059	-	115,873,059	5,277,462	121,150,521	109,814,196	11,336,325	9%
Admin & Finance	MICH	109,931,379	-	109,931,379	5,570,420	115,501,799	107,775,780	7,726,019	7%
Planning	MICI	121,996,203	-	121,996,203	(478,874)	121,517,329	110,610,531	10,906,798	9%
SHEFA Province	MICJ	133,529,931	-	133,529,931	11,962,278	145,492,209	129,972,751	15,519,458	11%
TAFEA Province	MICK	114,306,179	-	114,306,179	7,168,445	121,474,624	109,415,142	12,059,482	10%
Joint Command and Control	MIDA	333,415,599	-	333,415,599	69,440,432	402,856,031	407,129,614	(4,273,583)	-1%
Police District Northern	MIDB	184,638,256	-	184,638,256	-	184,638,256	172,345,781	12,292,475	7%
Police District Central	MIDC	74,124,710	-	74,124,710	-	74,124,710	63,380,683	10,744,027	14%
Police District Southern	MIDD	385,435,739	-	385,435,739	(69,440,432)	315,995,307	331,883,897	(15,888,590)	-5%
Vanuatu Mobile Force	MIDE	395,187,074	-	395,187,074	-	395,187,074	402,306,017	(7,118,943)	-2%
Police Maritime Wing	MIDF	101,703,840	-	101,703,840	-	101,703,840	88,307,049	13,396,791	13%
Border Control	MIDG	144,794,501	-	144,794,501	(10,691,000)	134,103,501	178,755,011	(44,651,510)	-33%
Issue of Passports	MIDH	181,631,394	-	181,631,394	(3,065,000)	178,566,394	179,990,402	(1,424,008)	-1%
Labour Regulation	MIEA	124,412,767	10,000,000	134,412,767	(6,000,000)	128,412,767	113,704,809	14,707,958	11%
Ectoral Services	MIEB	42,486,867	-	42,486,867	-	42,486,867	42,359,725	127,142	0%
Conduct of Elections	MIEC	17,850,000	150,000,000	167,850,000	(9,605,997)	158,244,003	148,590,626	9,653,377	6%
Civil Registry	MIED	42,181,101	-	42,181,101	2,500,000	44,681,101	46,055,054	(1,373,953)	-3%
Land Transport Authority	MIEG	35,505,000	-	35,505,000	-	35,505,000	34,201,722	1,303,278	4%
Police Service Commission	MIGA	13,408,301	-	13,408,301	-	13,408,301	13,119,981	288,320	2%
TOTAL FOR MINISTRY OF INTERNAL AFFAIRS		3,245,812,379	160,000,000	3,405,812,379	-	3,405,812,379	3,386,237,187	19,575,192	1%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
MINISTRY OF LANDS, MINES & WATER RESOURCES									
Portfolio Coordination	MLAA	55,392,576	-	55,392,576	-	55,392,576	60,202,177	(4,809,601)	-9%
Executive Management	MLBA	22,827,543	-	22,827,543	(208,687)	22,618,856	22,772,476	(153,620)	-1%
Corporate Services	MLBB	586,523,280	15,000,000	601,523,280	3,275,419	604,798,699	603,183,718	1,614,981	0%
Land Survey	MLEA	63,246,352	-	63,246,352	(635,614)	62,610,738	62,448,929	161,809	0%
Land Use Planning	MLEB	11,713,560	-	11,713,560	81,793	11,795,353	11,694,321	101,032	1%
Lease Management	MLEC	22,899,632	-	22,899,632	(1,785,405)	21,114,227	21,611,048	(496,821)	-2%
Land Valuation	MLED	13,712,364	-	13,712,364	(1,761,286)	11,951,078	12,145,380	(194,302)	-2%
Land Registry	MLEF	24,147,384	-	24,147,384	510,842	24,658,226	24,965,315	(307,089)	-1%
Enforcement & Compliance	MLEG	6,695,968	-	6,695,968	710,005	7,405,973	7,549,429	(143,456)	-2%
Mines & Minerals	MLFA	21,966,456	-	21,966,456	(2,008,356)	19,958,100	23,792,774	(3,834,674)	-19%
Rural Water Supply	MLGA	133,049,219	27,000,000	160,049,219	(790,659)	159,258,560	150,560,977	8,697,583	5%
Water Resource Management	MLGB	20,394,030	-	20,394,030	3,027,541	23,421,571	23,823,521	(401,950)	-2%
Land Valuation Services	MLHA	14,302,766	-	14,302,766	(415,593)	13,887,173	13,940,527	(53,354)	0%
TOTAL FOR MINISTRY OF LANDS, MINES & WATER RESOURCES		996,871,130	42,000,000	1,038,871,130	-	1,038,871,130	1,038,690,592	180,538	0%
MINISTRY OF YOUTH DEVELOPMENT AND SPORTS									
Cabinet Support Services	MYAA	80,946,538	-	80,946,538	-	80,946,538	72,418,689	8,527,849	11%
Executive Management & Support Services	MYBA	40,492,231	-	40,492,231	9,789,600	50,281,831	52,291,011	(2,009,180)	-4%
Contribution to Sport & Youth Development	MYBB	-	-	-	-	-	25,744,481	(25,744,481)	0%
Provincial Grants Youth Development	MYDA	35,739,256	-	35,739,256	(7,698,831)	28,040,425	21,261,878	6,778,547	24%
Youth and Sports Development	MYDB	62,994,096	-	62,994,096	(2,090,769)	60,903,327	59,484,628	1,418,699	2%
Vanuatu National Sports Commission	MYFA	76,756,848	-	76,756,848	-	76,756,848	74,428,529	2,328,319	3%
Vanuatu National Youth Council	MYFB	9,000,000	-	9,000,000	-	9,000,000	9,000,000	-	0%
Vanuatu National Youth Authority	MYFC	31,000,000	-	31,000,000	-	31,000,000	12,995,760	18,004,240	58%
TOTAL FOR MINISTRY OF YOUTH DEVELOPMENT AND SPORTS		336,928,969	-	336,928,969	-	336,928,969	327,624,976	9,303,993	3%

Statement of Appropriations (continued)

	Activity	Appropriations			Budget Virements vatu	Final Budget vatu	Actual Expenditure vatu	Under/ (Over) vatu	Percen- tage %
		Original vatu	Supple- mentary vatu	Final vatu					
MINISTRY OF JUSTICE AND SOCIAL WELFARE									
Portfolio Management	MJAA	62,804,171	-	62,804,171	-	62,804,171	72,350,790	(9,546,619)	-15%
Corporate Services	MJAB	119,134,041	-	119,134,041	-	119,134,041	105,614,858	13,519,183	11%
Womens Affairs	MJBA	31,958,562	-	31,958,562	-	31,958,562	30,519,853	1,438,709	5%
Correctional Services	MJCA	427,839,156	-	427,839,156	-	427,839,156	314,661,818	113,177,338	26%
Lands Tribunal Office	MJDA	65,126,694	-	65,126,694	-	65,126,694	66,854,063	(1,727,369)	-3%
Office of the Law Reform Commission	MJEA	25,692,750	-	25,692,750	-	25,692,750	26,425,110	(732,360)	-3%
TOTAL FOR MINISTRY OF JUSTICE AND SOCIAL WELFARE		732,555,374	-	732,555,374	-	732,555,374	616,426,492	116,128,882	16%
MINISTRY OF CLIMATE CHANGE ADAPTATION, GEOHAZARDS, METEOROLOGY AND ENERGY									
Portfolio Coordination	MGAA	71,962,234	-	71,962,234	(3,363,632)	68,598,602	64,591,105	4,007,497	6%
Corporate Services	MGBA	115,468,727	-	115,468,727	15,798,357	131,267,084	127,880,621	3,386,463	3%
Weather Forecasting, Monitoring and Research	MGCA	141,337,752	-	141,337,752	(10,652,858)	130,684,894	129,939,024	745,870	1%
Geo-hazard	MGCD	24,627,072	-	24,627,072	(6,986,048)	17,641,024	17,274,977	366,047	2%
Energy Management and assessment	MGDA	65,556,890	-	65,556,890	15,167,241	80,724,131	81,370,629	(646,498)	-1%
Green Energy	MGDC	100,000,000	-	100,000,000	-	100,000,000	100,000,000	-	0%
Environmental management, research and extension services	MGEA	83,154,598	-	83,154,598	(3,852,847)	79,301,751	75,297,085	4,004,666	5%
National Disaster Management	MGFA	65,514,821	-	65,514,821	(2,981,936)	62,532,885	62,093,123	439,762	1%
Climate Change	MGHA	34,704,815	-	34,704,815	(3,128,277)	31,576,538	31,534,005	42,533	0%
Climate Change Adaptation	MGHB	6,176,000	-	6,176,000	-	6,176,000	5,517,037	658,963	11%
Climate Change Mitigation	MGHC	1,244,000	-	1,244,000	-	1,244,000	1,242,455	1,545	0%
TOTAL FOR MINISTRY OF CLIMATE CHANGE ADAPTATION, GEOHAZARDS, METEOROLOGY AND ENERGY		709,746,909	-	709,746,909	-	709,746,909	696,740,061	13,006,848	2%
TOTAL FOR NON-CONSTITUTIONAL AREAS OF THE GOVERNMENT									
		36,902,720,925	3,312,835,974	40,215,556,899	(1)	40,215,556,898	36,747,118,503	3,468,438,395	9%
TOTAL FOR GOVERNMENT OF VANUATU									
		39,291,157,376	3,607,323,776	42,898,481,152	(1)	42,898,481,151	39,437,275,090	3,461,206,061	8%

Statement of Unappropriated Expenditure (for the year ending 31 December 2022)

The Annual Appropriation Act is the instrument that authorises expenditure by programs and activities for each Agency of Government. Additional expenditure for programs and activities may also be authorised through Supplementary Appropriation Acts.

Transfers of appropriated amounts between Agencies are prohibited by the Public Finance and Economic Management Act except where it is appropriated through a Supplementary Appropriation Act. However, the head of an agency may transfer an amount that has been appropriated for an activity of the agency in a financial year ("the losing activity") to another activity of the agency in that financial year provided that the transfer is not likely to adversely affect the losing activity.

The detailed statement of appropriations includes many activities that are overspent while the total expenditure for the Agency remains under the appropriated amount. Since agencies are free to transfer appropriation amounts between programs and activities, the Statement of Unappropriated Expenditure is shown at an agency level rather than at an activity or program level.

The following Agencies have exceeded their appropriation amount for the year ending 31 December 2022:

	Final Budget vatu	Actual Expenditure vatu	Unappropriated Amount vatu	Perce- tage %
CONSTITUTIONAL AREAS OF THE GOVERNMENT				
President of the Republic	85,842,632	89,790,210	(3,947,578)	-4.60%
Parliament	1,244,892,133	1,279,248,127	(34,355,994)	-2.76%
Judiciary	327,434,858	331,057,716	(3,622,858)	-1.11%
Office of the Ombudsman	69,770,770	71,678,263	(1,907,493)	-2.73%
Public Prosecutor	120,314,434	120,881,278	(566,844)	-0.47%
Public Solicitor	86,749,808	87,548,165	(798,357)	-0.92%
State Law Office	217,682,450	223,291,295	(5,608,845)	-2.58%
TOTAL FOR CONSTITUTIONAL AREAS OF THE GOVERNMENT	2,152,687,085	2,203,495,054	(50,807,969)	-2.36%
Prime Ministers Ministry	931,659,257	975,436,851	(43,777,594)	-4.70%
TOTAL FOR MINISTRIES	931,659,257	975,436,851	(43,777,594)	-4.70%
TOTAL FOR OVERSPENT AGENCIES	3,084,346,342	3,178,931,905	(94,585,563)	-3.07%